



CABLES FOR AFRICA

2024 INTEGRATED ANNUAL REPORT

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This Integrated Annual Report covers the financial year from 1 October 2023 to 30 September 2024.

The reporting period is annual with the last report having been published in September 2023.

The financial statements are presented in Zimbabwe gold currency ("ZWG").

The background of the slide is a blurred industrial scene. In the upper right, a large, dark, metallic wheel or roller is visible. Below it, a horizontal metal component with a bolt is in focus. The lower half of the image is dominated by bright, glowing orange and yellow streaks that curve across the frame, suggesting high speed or heat. The overall color palette is a mix of cool blues and greys from the industrial elements and warm oranges and yellows from the light streaks.

Overview

Overview

CAFCA LIMITED (Incorporated in Zimbabwe)

BUSINESS

CAFCA Limited ("CAFCA") manufactures and supplies cable for the transmission and distribution of electrical energy and information primarily in Southern and Central Africa.

DIRECTORATE AND ADMINISTRATION

Directors

Mkushi H. P. (Board Chairman)
Chidzonga E. T. Z. (Non - Executive Director)
Mangwengwende S. E. (Non - Executive Director)
Chigumbu T. (Non - Executive Director)
Maparura S. (Non - Executive Director)
Corte L. (Non - Executive Director)
Tapambgwa J. (Non - Executive Director)

Chief Executive Officer

Vimbayi Nyakudya

Secretary

C. Kangara

Principal Bankers

Nedbank Zimbabwe Limited
14th Floor, Old Mutual Centre
Harare

Independent Auditor

Grant Thornton
Chartered Accountants (Zimbabwe)
Registered Public Auditors
Camelsa Business Park
135 Enterprise Road
Highlands, Harare

Legal Advisors

Coghlan, Welsh and Guest
Legal Practitioners
Cecil House, 2 Central Avenue
P.O. Box 53, Harare

Registered Office

54 Lytton Road
Workington, Harare

Postal Address

P. O. Box 1651
Harare, Zimbabwe

COMPANY PROFILE

CAFCA Limited manufactures and supplies cable for the transmission and distribution of electrical energy and information primarily in Southern and Central Africa. We manufacture over 900 cabling products including 11kV XLPE cables all to British, South African and Zimbabwean quality standards.

MISSION STATEMENT

Our goal is to create long term shareholder value

Our business purpose is:

- to be the preferred manufacturer and supplier of cable for the transmission and distribution of information and energy for the Central and Southern African markets; and
- to be recognised for excellence in providing quality products and services that give best value to all our customers and other stakeholders.

Our operating principles are:

- we consistently delight customers;
- we strive for continued improvement;
- we achieve business excellence;
- we recognise suppliers as active partners in our business;
- we do it right;
- we value each other's contribution;
- we work as a team;
- we provide equal opportunities and encourage personal growth and a balanced lifestyle;
- we care for the environment;
- we demand honesty;
- we work safely;
- we recognise our staff as our most important asset.

Period in brief

Financial Highlights

	2024 ZWG	2023 ZWG
Revenue	598 389 003	629 940 533
Operating Profit	198 853 990	243 621 128
Profit before income tax	181 170 311	246 035 678
Profit for the year	123 753 348	199 633 429
Basic earnings per share (ZWG cents)	365	591
Diluted earnings per share (ZWG cents)	365	588

MILESTONES

CAFGA was the first company in Zimbabwe to achieve ISO 9002 accreditation, later upgraded to ISO 9001, which enables it to design as well as produce cabling to international standards.

In 1999 CAFGA became the first cable company in Sub-Saharan Africa to be awarded the environmental standard, ISO 14001.

Quality management system

Accredited to ISO 9001:2015

(First company to gain accreditation in Zimbabwe:1994)

Occupational health and safety system

Accredited to ISO 45001:2018

Environment management system

Accredited to ISO 14001:2015

(First cable company in Sub-Saharan Africa to achieve the international quality standard)

Energy management system

- Accredited to ISO 50001:2018

Zimbabwe Electricity Supply Authority annual supply contracts

- Low voltage armoured cables: 1985-98, 2000-03
- All aluminium conductor: 1988-99, 2001-03
- Aluminium conductor steel reinforced 1988-99, 2001-03

Anglo American Corporation annual supply contract

- 1985-2000

BHP annual supply contract

- 1996-1999

Botswana Power Corporation

- Split concentric annual supply contract 2000-2004

Botswana Ministry of Health

- Annual supply of low smoke and fume white stripe cables 2002-2004

African Cables (South Africa)

- Monthly delivery of 600/1000V red stripe to SANS 1507 2003 specifications to date

Confederation of Zimbabwe Industries (CZI)

- Industrial Exporter of the Year 1st Runner up 2005
- Industrial Exporter of the Year 1st Runner up 2008

National Industrial Energy Efficiency Award

- 1st Runner up 2011

Zimbabwe Quoted Companies Survey

- Manufacturing Winner 2012
- Overall Winner 2021

Exporter of the year

- Runner up 2012

National Industrial Energy Efficiency Award

- Winner 2013 and 2014

Zimtrade Exporter of the Year Award

- Household Electrical Goods Sector 2016 and 2017

Best Stakeholder Practices and Sustainability Reporting

- 2018 second prize - Institute of Chartered Secretaries and Administrators

NSSA Health and Safety Award

- 2023

ZNCC Mashonaland Region Award

- Efficient Energy Management Award in Manufacturing 2023

Directors

HONOUR PINIEL MKUSHI - Chairman

Non-executive Director. LL.B (Hons), (London)

Appointed to the board on 1 January 1986

Honour is an Advocate of the High Court of Zimbabwe. He is the senior partner of Sawyer & Mkushi. He has been in private practice since 1971 and has an immaculate professional record with the Law Society of Zimbabwe. He specialises in corporate commercial banking, financial and property law practice. He has experience in constitutional law making, including attending the Geneva and Lancaster House London negotiations for Zimbabwe's Independence. He was a Commissioner involved in the drafting of the new Constitution for Zimbabwe in 1999.

Honour has sat on various boards including the following:

Chairman of the Council of Great Zimbabwe University for 6 years.

Chairman of the Board of Zimpapers for 12 years.

Chairman of the Board of Zimbabwe Mass Media Trust for 14 years.

Chairman of the Board of Leyland Zimbabwe Motor Corporation for 10 years.

Chairman of the Board of Commercial Union Insurance Company for 8 years.

Chairman of the Board of Standard Chartered Bank Zimbabwe Limited for 27 years.

Board Member of Lonrho Zimbabwe Limited - Motor and Mining.

He is currently the Chairman of six other reputable companies in Zimbabwe namely, Windmill Fertilisers Limited, Bright Insurance Brokers (Private) Limited, Nissan Clover Leaf Motors (Private) Limited, Zimbabwe Motor Investments (Private) Limited, Aptics ICT (Private) Limited, Automotive Distributor (Private) Limited.

SIMBARASHE EMANUEL MANGWENGWENDE

Non-executive Director. B.Sc. (Eng.) (Hons.) (Electrical Engineering) (University of Zimbabwe),

M.Sc. (Management of Technology) (Washington University. U.S.A). F.Z.W.E.I.E., Mem. I.E.E.E.

Appointed to the board on 1 October 2006

Simbarashe is an electrical power engineering and management specialist with extensive experience in the electricity supply industry including more than 14 years (1992 to 2006) as chief executive of the Zimbabwe Electricity Supply Authority (ZESA), the country's national utility, eight years (1981 to 1988) in electricity distribution engineering in various capacities of increasing responsibility and four years (1988 to 1992) in corporate planning.

Since retirement in 2006 he has been working as an independent consultant and sits on the boards of several public and private companies and non-profit organisations.

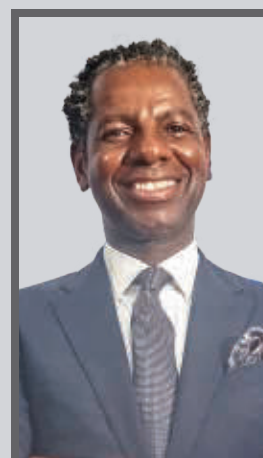
TAFADZWA CHIGUMBU

Non-Executive. Chartered Management Accountant.

Appointed to the board on 10 November 2022.

Tafadzwa is an accomplished entrepreneur and business executive with vast experience in several Zimbabwean industries. He started work in his father's employ he went on to work for NSSA, Anglo America and Nampak. He subsequently founded businesses in petrochemicals, logistics, FMCG, construction and industrial manufacturing. He is also a board member at Hippo Valley.

Currently he is the CEO of Redan.



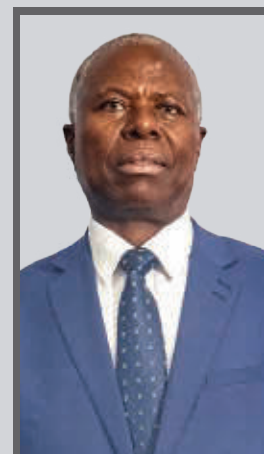
EDWIN TAVENGWA ZINYORO CHIDZONGA

*Non-executive Director. M.A. (Accounting & Finance) UK, F.C.C.A. (UK), F.C.M.A (UK), M.I.M. (UK)
Appointed to the board on 17 February 2000*

Edwin joined Minerals Marketing Corporation of Zimbabwe (MMCZ) as its first Financial Controller; set up the accounting systems including the commission rate that the MMCZ levies mining companies. He was subsequently appointed Managing Director of MMCZ Sales, AG a subsidiary of the MMCZ in Zurich looking after the European market. He left MMCZ Sales AG to join the Standard Chartered Bank Group as Managing Director of Standard Chartered Finance Zimbabwe, then subsequently posted to the bank's London Head Office before returning to Zimbabwe to join the Mining industry Pension Fund as its Chief Executive Officer. After his stint with the MIPF he joined Deloitte Zimbabwe as an Associate Director in the Human Capital Division specialising in a Management Culture Change programme called Value Creation and Exponential Growth Methodology.

After retiring from Deloitte, Edwin co-founded Colbrad Zimbabwe (Pvt) Ltd - Exponential Growth, Value Creation Change Management Strategists, as its Managing Director.

Edwin sits on various Boards of Private and Quoted companies.



SHARRON MAPARURA

*Non executive director. BSc Psychology (UZ) ,MBA (Management College of Southern Africa- MANCOSA), General Management Program (Harvard Business School- USA), SABMiller Marketing Foundation/Marketing Way (SA), Certificate in Business Policies (Rhodes University).
Appointed to the Board on 4 May 2023*

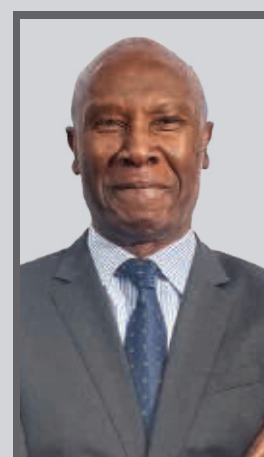
Sharron is self motivated and proficient with experience in business strategy, financial oversight, operations management, sales and marketing. She is an Executive Director at Lobels Holdings working as the Interim CEO. She has also held various senior management positions at Lobels Holdings. Prior to that she was a CEO at Cairns Foods from November 2018 to December 2022. Sharron has also previously worked for Delta Beverages and Innscor Distribution Group Africa.



JOSHUA TAPAMBGWA

*Non-executive Director.
Appointed to the board on 24 August 2023*

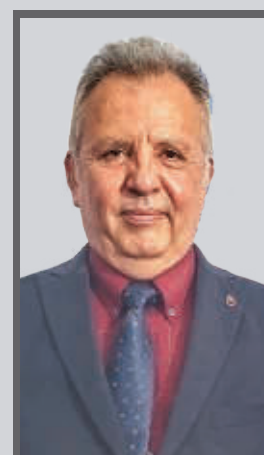
Joshua trained as a Chartered Accountant with Arthur Young and Company which is now EY. He is married and has two children. He studied for a Bachelor of Accountancy Honours degree at the University of Zimbabwe. Joshua has worked for a lot of organizations particularly as an Accountant and other high level positions. He has worked for the following:- LEYLAND ZIMBABWE, LONRHO MINING, CAFCA LTD, SOUTH AFRICAN BREWERIES and STANBIC BANK ZIMBABWE. Joshua spent a total of 18 years with Stanbic Bank Zimbabwe where he worked as Head of Finance as well as Finance Director. He was promoted to the position of Managing Director and worked in that capacity for 13 years. He left the bank on early retirement.



LUIS CORTE

*Non-executive Director.
Appointed to the board on 24 August 2023*

Luis was born in Mexico and is married with two daughters. Luis graduated with Honors second best grade of Generation at the Instituto Tecnológico de Puebla Mexico and was awarded a Bachelor's degree in science in Engineering, Industrial Electronics (1983-1987). In 1988-1992 Luis furthered his education of doing a master's degree in business administration and master's degree in Mechatronics. Luis has worked for several companies which include Telmag plant CONELEC Mexico - as an Engineer, Apizaco Plant Conductores Monterrey Mexico, Metal Fabricators of Zambia Ltd, Phelps Dodge International Corporation Sub Sahara Africa as the Managing Director, Operations General Cable Iberia Barcelona Spain - coordination the Manufacturing functions for 3 factories in Catalunya, Spain and Portugal. He was also vice president in operations for General Cable sub-Sahara Africa - Barcelona, Spain and Durban and South Africa. He worked as Managing Director for Optimum Manufacturing Solutions Pvt Ltd, he was Director in Strategy and Business Development at Mark Cables in Dubai UAE, Angola and Rwanda. He was a Business Analyst at Reunert Management services - seconded to CBI African cables. Currently he is the Managing Director at AFCAB Pty Ltd.



Directors' Report

DIRECTORS' REPORT

The directors have pleasure in presenting their report together with the financial statements of CAFCA Limited for the twelve months ended 30 September 2024.

The financial reports have been prepared in ZWG.

Capital

AUTHORISED SHARE CAPITAL

The authorised share capital remains unchanged at 50 000 000 ordinary shares of ZWG0.00001 each and 100 000 5.5% cumulative preference shares of ZWG0.00001 each.

ISSUED SHARE CAPITAL

Issued share capital comprises 33 949 000 fully paid-up ordinary shares.

UNISSUED SHARE CAPITAL

In terms of the Articles of Association of the Company, the unissued share capital is under the control of directors subject to the limitations of the Zimbabwe Companies and Other Business Entities Act (Chapter 24:03) and the Zimbabwe Stock Exchange Regulations.

RESULTS FOR THE YEAR

The results for the year are reported in the financial statements for the year ended 30 September 2024 which are set out on pages 16 to 43.

Attention to quality

Attention to quality is one of the reasons for our continued success.

At all levels we put our best endeavours into achieving product performance, safety and reliability. We monitor, control, document and regularly review all Company activities from design through to production and inspection. We hold quality systems' accreditation and product approvals from a number of authorities both local and international.

In terms of the Articles of Association of the Company, one third of the directors, excluding the managing director, will retire by rotation each year.

The Managing Director R. N. Webster retired during the year. The Chief Executive Officer V. Nyakudya was appointed during the year. In accordance with the Articles of Association Messrs T. Chigumbu and S. E. Mangwengwende retire by rotation. The directors, being eligible, offer themselves up for re-election.

Employment policies

CAFCA Limited does not discriminate on the basis of race, religion, sex or disability and is committed to providing opportunities, safe working conditions and attractive remuneration to staff.

The Company endeavours to attract and retain talented and suitably qualified and experienced staff through performance-based reward systems, including an incentive bonus scheme.

Corporate governance

A statement on corporate governance is set out on page 8.

Auditors

Grant Thornton Chartered Accountants (Zimbabwe) were re-appointed as auditors in February 2024.

DIRECTORS' REPORT - continued

Meetings of the directors

The following table sets out the number of board meetings held by CAFGA Limited during the period under review and those attended by each director.

	Meetings held	Meetings attended
R.N. Webster	1	1
E.T.Z. Chidzonga	4	4
S.E. Mangwengwende	4	4
T. Chigumbu	4	4
S. Maparura	4	3
L. Corte	4	2
J. Tapambgwa	4	4

Directors' interests

Details of directors' interests in the ordinary shares of the Company are shown below:

	Number of shares	
	Shares held directly	Shares held indirectly
H. P. Mkushi	-	6 178 699
E. T. Z. Chidzonga	100	-
S. E. Mangwengwende	100	-
T. Chigumbu	-	9 119 019



Left to right;
H. P. Mkushi (Chairman), S. E. Mangwengwende, T. Chigumbu, E.T.Z Chidzonga, S. Maparura, J. Tapambgwa, L. Corte

Corporate Governance

Corporate governance represents the means by which direction and control are applied to the stewardship of an organisation's assets, both tangible and intangible, financial and non-financial, in the pursuit and delivery of the primary objective of sustainable value creation.

Ethics

Directors, management and staff are required to maintain the highest possible standards of business ethics and accountability, and appropriate disciplinary measures are in place in the event of non-conformity.

Board of directors

The board of directors (the "board") of CAFCA Limited ("CAFCA" or the "Company") fully supports the highest standards of corporate governance and is committed to the principles of openness, integrity and accountability in dealings with all stakeholders. The board fully recognises its responsibilities for setting the Company's strategic direction, providing the leadership to put this into effect, supervising the management of the business and reporting to the shareholders on its stewardship.

The board meets at least four times a year. One third of the board retire by rotation at the Annual General Meeting and may offer themselves as eligible for re-election.

Following the appointment of new directors to the board, an induction programme is arranged in order to facilitate their understanding of CAFCA Limited.

Audit and Risk committee

This committee was established to help the board discharge its responsibilities relating to the safeguarding of assets, the operating of adequate systems and controls and of adding assurance and credibility to the Company's financial reporting process.

The Audit and Risk committee has the authority to conduct or authorise investigations into any matters within its scope of responsibilities. The audit risk committee comprises no less than three non-executive directors. The board appoints audit risk committee members and the chairman of the audit risk committee from among its directors. The audit risk committee meets no less than four times a year.

The audit risk committee assists the board in fulfilling its responsibilities by reviewing and making recommendations on the following:

- the financial reporting process,
- the systems of internal control,
- the process for the management of business risks,
- the audit process, and
- the Company's process for monitoring compliance with relevant laws and regulations.

Executive committee

This committee consists of the executive team, which is responsible for implementing the board's strategies, plans and policies, identifying risk for the board and for safety, health, environment and other operational matters.

Risk management

Effective risk management is a board responsibility and is integral to the Company's objective of consistently adding value to the business. Business risks have been identified and relevant strategies are in place to address them. The managing director is required to identify and present all risks for review by the Audit and Risk committee.

Management reporting

The Company's performance is monitored during weekly and monthly management meetings and is supported by management reporting disciplines that include the preparation of annual business plans and monthly results reported against budgets and other targets.

Remuneration and Nomination committee

This committee consists of two non-executive directors who review and approve executive and staff remuneration, inclusive of bonuses and benefits as well as directors' fees, within the board's terms of reference.

Operations controls

While operating risk can never be fully eliminated, the endeavours to minimise it by ensuring that the appropriate infrastructure, controls, systems and people are in place throughout its business. Key policies employed in managing operating risk involve the segregation of duties, transactions authorisations, as well as monitoring financial and managerial reporting.

Chairman's' Statement

I am pleased to be presenting the performance of CAFCA for the financial year ended 30 September 2024.

Performance overview

The challenges emanating from the trading environment have caused significant headwinds impacting on the performance of CAFCA. Volumes were ahead of prior year by 10% albeit with the sales mix skewed towards low margin sales. Therefore, the reported revenue and operating profit in Zimbabwean Gold (ZWG) were lower than prior year by 5% and 18%, respectively. Overall, the Company has maintained a strong and healthy balance sheet.

Trading environment

The trading environment has been volatile during the year under review. The decline in commodity prices of most metals and alloys, as well as impact of the drought for the 2023/24 agricultural season dampened aggregate demand. Currency instability reflected by the inflation rate at 37.5% in September 2024, and exchange rate fluctuations, remain a significant challenge to value preservation.

On a positive note, the construction sector was buoyant spurred by the road construction activities, new housing and property development projects, as well as firm prices obtaining for gold.

People and governance

The Board continues to prioritise sustainability, and governance matters as these are core to the company's strategy execution namely safety and wellness, skills adequacy, systems and compliance.

a. Safety and wellness

The company continues to maintain a heightened approach to the identification of safety and wellness related risks in order to achieve zero harm to our human and physical capital, as well as reduce operational disruptions. As a result, the lost time injury frequency rate (LTIFR) decreased by 11% against prior year. In addition, the Company received an award from the National Social Security Authority (NSSA) as recognition for the Company's good record on safety and health performance.

Through the company's health service provider, wellness programs have been extended to all our staff to ensure the good mental and physical health.

b. Skills adequacy

The balance of skills and experience at all levels is important to the success of CAFCA. To that end, there is diversity in competences and backgrounds that our board members bring to CAFCA's sustainability. The Company also continues to invest in training and development of staff through learnerships for apprenticeships and graduates, as well as management and leadership development programs.

During the year, the Board appointed Mr. Vimbayi Nyakudya, as CEO from 1 June 2024. I would like to thank Mr. Rob Webster for his valuable contribution to CAFCA over the past 17 years.

c. Systems and compliance

CAFCA does not compromise on quality and therefore has continued to deepen its strength in the internal control system to maintain the right quality standards. CAFCA remains certified on Quality (ISO9001:2015), Environmental (ISO14001:2015), Occupational, Health and Safety (ISO45001:2018) and Energy Management systems (ISO50001:2018) by the Standard Association of Zimbabwe (SAZ) and South African Bureau of Standards (SABS).

d. Innovation and strategy

The board remains focused on the effective execution of the strategy by tracking risks and opportunities as well as major events that have a bearing on the company's sustainable performance. The board is currently seized with driving CAFCA's strategy to achieve competitiveness through modern approaches to supply chain management, technological advancements, power and manpower utilisation. In addition, CAFCA implores the government through the Ministry of Industry and Commerce to implement policies that will not only balance the interest of all stakeholders but also protect the Zimbabwean industry.

Dividend

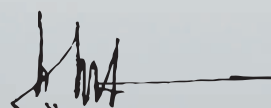
Given cash flow considerations, the Board declared a dividend of USD4.9 cents per share. In the prior year, the dividend per share was USD 7.9 cents.

Outlook

Whilst the outlook remains challenging, the Board believes CAFCA is positioned to tackle the threats, and to take advantage of the opportunities that lie ahead. The Company's depth of experience in the Zimbabwean market and the region puts CAFCA in a competitive position to drive market growth, capacity utilisation and effective capital allocation.

Conclusion

I would like to thank our stakeholders namely our customers, suppliers, service providers, shareholders, fellow board members, management and staff for the support in driving CAFCA performance.



H. P. Mkushi
Board Chairman
07 November 2024



Cafca Executive Management Team





Senior executives

Chief Executive Officer - Vimbayi Nyakudya
Finance executive - Caroline Kangara
Chief engineer - Phillip Tashayawedu
Sales and marketing executive - Bazil Makoni
Manufacturing executive - Godfrey Mavera

Left to right;

Phillip Tashayawedu, Godfrey Mavera,
Vimbayi Nyakudya, Bazil Makoni,
Caroline Kangara

Chief Executive Officer's Statement

Strategic Overview

The year under review has been a complex one for the Company, with both internal and external factors impacting the operations. The management team has set on cementing CAFCA's position in the market as the leading provider of cables for transmission and distribution of energy and information with tailor-made solutions to the segments we operate.

Operational Review

a. Sales & Marketing

In general, our customers demand that CAFCA cables be competitive, readily available and of consistent quality despite the complexities in the trading environment. To that end, the Company has been investing in modern technologies to enhance capacity utilisation, product availability and reach, through the accredited retail network.

Volumes of direct business with technical partners (in the domestic market) for the year under review remained firm, at 29% ahead of prior year, driven by commercial projects in property development as well as utilities. CAFCA maintained the agility, quality and responsiveness to meet this growth in demand.

Business through the factory shops and the retail distribution networks (in the domestic market) has been 6% behind prior year, given the challenging trading environment. In the coming year, improvements in the customer experience at the factory shops, effective collaboration with accredited distributors and increased reach to the customer base with necessary information to aid buying decisions, will drive marketing execution.

Exports volumes were 7% ahead of prior year. This is despite the challenges of currency remittance by foreign customers and increased competition in export markets. The Company continues to put effort in penetrating the export markets with a focus on expanding both the retail footprint and direct engagements with technical partners in the region. Establishing the strength of the brand in these competitive markets remains the primary target for CAFCA.

b. Production & Engineering

The gaps in power supply created a major dent in capacity utilisation during the year as hours lost due to power cuts were 144% up against prior year. Containment measures have been put in place albeit coming at a cost, to keep the product available to our customers. On-time delivery was therefore negatively affected, averaging 83% in the last quarter of the financial year, against a target of 100%.

Despite the power challenges, government support over the years enabled CAFCA's capacity utilisation to improve to above 60% in the financial year under review from below 40% in 2016. As a result of the improved capacity, ZimTrade recognized CAFCA as runner up to the exporter of the year award on electrical products during the year under review.

Management, in the engagements with the government, continues to call upon the implementation of favorable policies critical to the industrialization of Zimbabwe, in order to boost exports and foreign currency generation.

During the year, the Company maintained its manpower capacity at a headcount of 300. The Company values the skill in making quality cables therefore has continued to invest in learnership and apprenticeship programs for its industrial, mechanical and electronics engineers and technicians to foster continued innovation.

Copper reclamation and recycling remains an important process to CAFCA's operations. Recycled copper was 30% of material usages during the year and CAFCA commits to give care to the environment through recycling.

Safety remains our number 1 priority. I would like to congratulate the management team and staff at CAFCA on the safety award at the NSSA awards ceremony.

c. Capital Allocation & Value Creation

Achieving scale while at the same time being sensitive to economic cycles obtaining in our operating environment has remained a priority for CAFCA. During the period, volumes grew by 10% despite the challenging trading environment. Operating margins however declined by 20% due to the sales mix favoring low margin direct sales. In addition, costs of power and wages increased during the year by 6% as the impact of inflation in real terms caught up with CAFCA's operations. Interventions are now in place to improve efficiency and margins.

The Company is constantly reviewing its strategic capital allocation in inventory to ensure effective value preservation. In addition, the Company will continue investment in cutting edge technologies and upgrades of key equipment.

Future Performance

Given the strategic initiatives adopted by CAFCA, the Company is positioned to take advantage of growth opportunities that lie ahead, as the Company pursues competitiveness through manufacturing excellence.

Acknowledgements

I would like to express my gratitude to the Board, management, and staff on following through with our strategic initiatives to deliver value to our stakeholders.



V. Nyakudya
Chief Executive Officer
07 November 2024



Financial Report

Directors' Declaration

Responsibilities of Management and Those Charged with Governance for the Financial Statements for the year ended 30 September 2024.

It is the Directors' responsibility to ensure that the financial statements fairly present the state of affairs of the Company. The external auditors are responsible for independently reviewing and reporting on the financial statements.

The Directors have assessed the ability of the Company to continue as a going concern and believe that the preparation of these financial statements on a going concern basis is still appropriate. However, the Directors believe that under the current economic environment a continuous assessment of the ability of the Company to continue to operate as a going concern will need to be performed to determine the continued appropriateness of the going concern assumption that has been applied in the preparation of these financial statements.

The Directors also carried out an assessment of the impact of liquidity constraints and foreign currency shortages on the Company's operations and income streams and came to a conclusion that the impact is not material to affect the ability of the Company to continue as a going concern for the twelve months ended 30 September 2025.

The financial statements set out in this report have been prepared by management in accordance with International Financial Reporting Standards (IFRSs) as issued by the International Accounting Standards Board (IASB), which includes standards and interpretations approved by the IASB and Standing Interpretations Committee (SIC) interpretations issued under previous constitutions.

The Company's accounting and internal control systems are designed to provide reasonable assurance as to the integrity and reliability of the financial statements and to adequately safeguard, verify and maintain accountability of its assets. Such controls are based on established written policies and procedures and all employees are required to maintain the highest ethical standards in ensuring that the Company's business practices are conducted in a manner which in all reasonable circumstances is above reproach. Issues that come to the attention of the Directors have been addressed and the Directors confirm that the system of accounting and internal control is operating in a satisfactory manner.

The Company's financial statements which are set out on pages 18 to 45 were, in accordance with their responsibilities, approved by the Board of Directors on 7 November 2024 and are signed on its behalf by:



H. P. MKUSHI
CHAIRMAN



V. NYAKUDYA
CHIEF EXECUTIVE OFFICER

These financial statements were prepared under the supervision of:



C. KANGARA
FINANCE EXECUTIVE



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 Zimbabwe

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 F +263 0242 442517 / 496985
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 www.grantthornton.co.zw

To the Members of CAFCA Limited

Report on the Audit of the Financial Statements

Adverse Opinion

We have audited the financial statements of CAFCA Limited set out on pages 18 to 45, which comprise the statement of financial position as at 30 September 2024, the statement of profit or loss and other comprehensive income, the statement of changes in equity and the statement of cash flows for the year then ended, and the notes to the financial statements.

In our opinion, because of the significance of the matter described in the Basis for Adverse Opinion section of our report, the financial statements do not present fairly, in all material respects, the financial position of CAFCA Limited as at 30 September 2024, and its financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Adverse Opinion

Non-compliance with International Accounting Standard 21 "The Effects of Changes in Foreign Exchange Rates" (IAS 21)

As disclosed in Note 2.1.1 to these financial statements, management determined that the Company's functional currency, being the currency that most faithfully represents the economic effects of the underlying transactions, events and conditions of the Company, had changed from Zimbabwe Dollar (ZWL) to United States Dollar (USD) effective 1 October 2023. Subsequent to the assessment and determination of the USD as the Company's functional currency, the Company continued to use the ZWL as its functional currency.

On 5 April 2024, the Government of Zimbabwe through Statutory Instrument 60 of 2024, introduced a new currency, the Zimbabwe Gold (ZWG) to be the unit of account for transactions previously denominated in ZWL. Following the introduction of ZWG, management reassessed the functional currency and determined that the USD continued to be the Company's functional currency. The Company continued to use the local currency as its functional currency for the year ended 30 September 2024.

According to IAS 21, "an entity's functional currency reflects the underlying transactions, events and conditions that are relevant to it. Accordingly, once determined, the functional currency is not changed unless there is a change in those underlying transactions, events and conditions".

The continued use of the local currency as the Company's functional currency when the underlying transactions, events and conditions of the Company have changed, constitutes a departure from the requirements of IAS 21.

The effects of non-compliance with the requirements of IAS 21 have been considered to be material and pervasive to the financial statements as a whole.

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our adverse opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current year. These matters were addressed in the context of our audit of the financial statements as a whole and we did not provide a separate opinion on these matters. Other than the matters described in the Basis for Adverse Opinion section above, we have determined that there are no other key audit matters to communicate in our report.

Chartered Accountants

Member of Grant Thornton International Ltd
 A list of partners may be inspected at the above address



Other information

The Directors are responsible for the other information. The other information comprises the 'Corporate information', 'Directors' report', 'Corporate governance report', 'Chairman's report', and 'Managing Director's report', which we obtained prior to the date of this auditor's report. The other information does not include the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and we do not express any form of assurance or conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards (IFRSs), and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion.
- Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the company to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of CAFA audit. We remain solely responsible for our audit opinion.



We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

In our opinion, except for the effects of the matters described in the Basis for Adverse Opinion, the financial statements have been properly prepared in compliance with the requirements of the Companies and Other Business Entities Act (Chapter 24:31).

The engagement partner on the audit resulting in this Independent Auditor's Report is Edmore Chimhowa.

A handwritten signature in black ink that reads "Edmore Chimhowa".

Edmore Chimhowa
Partner

Registered Public Auditor (PAAB No: 0470)

Grant Thornton
Chartered Accountants (Zimbabwe)
Registered Public Auditors

HARARE

14 November 2024

Statement of financial position

As at 30 September 2024

	Notes	2024 ZWG	2023 ZWG
Assets			
Non-current assets			
Property, plant and equipment	6	519 072 661	11 673 259
Current assets			
Inventories	7	321 029 183	266 337 596
Trade and other receivables	8	72 180 486	90 765 535
Income tax asset	14	-	5 754 370
Cash and bank balances	9	14 361 284	10 331 107
		407 570 953	373 188 608
Total assets		926 643 614	384 861 867
Equity and liabilities			
Share capital and reserves			
Share capital	10.2	887	887
Share premium	10.2	7 609 604	2 709 246
Share option reserve	10.3	-	4 976 618
Retained earnings		329 036 652	246 671 209
Revaluation reserve		477 599 169	-
Total equity		814 246 312	254 357 960
Non-current liabilities			
Deferred tax liabilities	11	21 389 587	26 667 446
Current liabilities			
Trade and other payables	12	29 107 152	18 781 359
Provisions for other liabilities and charges	13	15 860 583	13 922 060
Current tax payable	14	1 531 824	-
Dividend payable	15	44 508 156	56 050 886
Bank overdrafts	9	-	15 082 156
		91 007 715	103 836 461
Total equity and liabilities		926 643 614	384 861 867



Mkushi H. P.
Chairman



Nyakudya V.
Chief Executive Officer

Statement of profit or loss and comprehensive income

For the year ended 30 September 2024

	Notes	2024 ZWG	2023 ZWG
Revenue	16	598 389 003	629 940 533
Cost of sales	17	(339 009 351)	(347 185 042)
Gross profit		259 379 652	282 755 491
Distribution costs	17	(2 036 648)	(2 196 503)
Administrative expenses	17	(85 959 580)	(89 564 667)
Other income	18	36 314 540	52 448 537
Allowance for impairment	17	(9 651 837)	(782 324)
Other gains	19	807 863	960 594
Operating profit		198 853 990	243 621 128
Finance cost	20	(5 283 609)	(11 325 615)
Finance income	20	331	137
Monetary (loss)/gain		(12 400 401)	13 740 028
Profit before income tax		181 170 311	246 035 678
Income tax expense	21	(57 416 963)	(46 402 249)
Profit for the year		123 753 348	199 633 429
Other comprehensive income:			
Items that will not be reclassified to profit or loss			
Revaluation surplus	6	502 735 967	-
Income tax relating components of other comprehensive income	11	(25 136 798)	-
Other comprehensive income for the year, net of income tax		477 599 169	-
Total comprehensive income for the year		601 352 517	199 633 429
Basic earnings per share(ZWG cents)	22	365	591
Diluted earnings per share(ZWG cents)	22	365	588
Headline earnings per share(ZWG cents)	22	362	588
		USD Cents	USD Cents
Dividend per share		4.90	7.90

The above statement of profit/(loss) and other comprehensive income should be read in conjunction with accompanying notes.

Statement of changes in equity

For the year ended 30 September 2024

	Notes	Share capital ZWG	Share premium ZWG	Share option reserve ZWG	Revaluation earnings ZWG	Retained earnings ZWG	Total ZWG
Balance as at 1 October 2022		887	2 384 851	3 394 207	-	103 088 666	108 868 611
Total comprehensive income for the year		-	-	-	-	199 633 429	199 633 429
Profit for the year		-	-	-	-	199 633 429	199 633 429
Other comprehensive income for the year		-	-	-	-	-	-
Transactions with owners in their capacity as owners:							
Share options exercised	10.3	-	128 677	-	-	-	128 677
Transfer between reserves	10.3	-	195 718	(195 718)	-	-	-
Share option expense	10.3	-	-	1 778 129	-	-	1 778 129
Dividend declared	15.3	-	-	-	-	(56 050 886)	(56 050 886)
Balance as at 30 September 2023		887	2 709 246	4 976 618	-	246 671 209	254 357 960
Balance as at 1 October 2023		887	2 709 246	4 976 618	-	246 671 209	254 357 960
Total comprehensive income for the year		-	-	-	477 599 169	123 753 348	601 352 517
Profit for the year		-	-	-	-	123 753 348	123 753 348
Other comprehensive income for the year		-	-	-	477 599 169	-	477 599 169
Transaction with owners:							
Share options exercised	10.3	-	25 488	-	-	-	25 488
Transfer between reserves	10.3	-	4 874 870	(4 874 870)	-	-	-
Share option expense	10.3	-	-	(101 748)	-	-	(101 748)
Dividend declared	15.3	-	-	-	-	(41 387 905)	(41 387 905)
Balance as at 30 September 2024		887	7 609 604	-	477 599 169	329 036 652	814 246 312

The above statement of changes in equity should be read in conjunction with accompanying notes.

Statement of cash flows

For the year ended 30 September 2024

	Notes	2024 ZWG	2023 ZWG
Cash flows from operating activities			
Profit before income tax		181 170 311	246 035 678
Adjustments for:			
Depreciation	6	288 305	1 750 407
Loss/(gain) on net monetary assets		12 400 401	(13 740 028)
Profit from disposal of motor vehicles	19	(807 863)	(960 594)
Non-cash employee benefit expense - share based	18	(101 748)	1 778 129
Finance cost	20	5 283 609	11 325 615
Finance income	20	(331)	(137)
Working capital changes:			
Increase in inventories		(54 691 587)	(135 427 491)
Decrease/(Increase) in trade and other receivables		18 585 049	(61 841 657)
Increase in trade and other payables		10 325 793	12 387 118
Increase in provision for other liabilities		1 938 523	6 605 930
Net cash generated from operations		174 390 463	67 912 971
Finance cost	20	(5 283 609)	(11 325 615)
Finance income	20	331	137
Income taxes paid	14	(19 716 112)	(51 928 403)
Net cash generated from operating activities		149 391 073	4 659 090
Cash flows from investing activities			
Acquisition of property, plant and equipment	6	(5 905 634)	(6 450 585)
Proceeds from sale of motor vehicles		807 863	960 594
Net cash utilised in investing activities		(5 097 771)	(5 489 991)
Cash flows from financing activities			
Repayments of borrowings		-	(3 096 323)
Proceeds from issuance of shares - share options	10	25 488	128 677
Dividend paid	15	(52 930 635)	-
Net cash utilised in financing activities		(52 905 147)	(2 967 646)
Increase in cash and cash equivalents		91 388 155	(3 798 546)
Cash and cash equivalents at the beginning of the year		(4 751 049)	(3 916 785)
Effects of exchange rates on cash and cash equivalents		(72 275 822)	2 964 283
Cash and cash equivalents at the end of the year	9	14 361 284	(4 751 049)

The above statement of cash flows should be read in conjunction with accompanying notes.

Statement of accounting policies

For the year ended 30 September 2024

1 General information

CAFCA Limited (the "Company") is a public limited liability company incorporated and domiciled in Zimbabwe. The Company has a primary listing on the Zimbabwe Stock Exchange and a secondary listing on the Johannesburg Stock Exchange. These financial statements were approved for issue by the Board of Directors on 7 November 2024.

2 Material accounting policy information

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

2.1 Basis of preparation

The financial statements of CAFCA Limited have been prepared with an aim to comply with IFRS® Accounting Standards and in the manner required by the Zimbabwe Companies and Other Business Entities Act (Chapter 24:31).

The preparation of financial statements in conformity with IFRS Accounting Standards requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Company's accounting policies. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 4.

2.1.1 Functional and presentation currency

In February 2019, the Government of Zimbabwe issued Statutory Instrument 33 of 2019, which prescribed parity between the United States Dollar (USD) and the local currency as at and up to the effective date of 22 February 2019. The Company adopted the Zimbabwe Dollar (ZWL) as its functional and reporting currency in 2019 in line with the requirements of the law. For 2019 and subsequent financial years, the Directors and management determined that the Company's functional currency is ZWL based on requirements of IAS 21.

On 29 March 2020, The Government of Zimbabwe then issued Statutory Instrument 85 of 2020 which was valid until 30 June 2025 which reintroduced the use of multi-currencies. The cut off date was further extended by Statutory Instrument 218 of 2023 gazetted on 27 October 2023 which extended the multi-currency regime to 2030.

After the multi-currency extension, significant inflationary pressures on the ZWL led to an increase in the level of USD transactions for the period under review. The income statement was dominated by USD transactions.

In light of this increased level of USD transactions, the Directors conducted a thorough assessment of the factors influencing the determination of the Company's functional currency. The assessment considered factors such as primary economic activities, currency of transactions, cash flow patterns, the regulatory environment and long-term stability.

The Company continued to use the ZWL as its functional and reporting currency for the year ended whilst monitoring the economic developments to determine whether there will be need to change the functional currency in the near future.

On 5 April 2024, the Government of Zimbabwe through Statutory Instrument 60 of 2024, introduced a new currency,

Zimbabwe Gold (ZWG) to be the unit of account for transactions previously denominated in ZWL. Following the introduction of ZWG, management reassessed the functional currency and determined that the USD continued to be the Company's functional currency.

The Directors believe that based on the period of time among other factors that the ZWG has been in the market, it is premature at this stage to conclude whether there have been changes in circumstances that would make the economy non hyperinflationary or not. Consequently, the Directors will continue to observe the behaviour of the economy and follow guidance from the Public Accountants and Auditors Board (PAAB).

The Directors adopted the Zimbabwe Gold (ZWG) as the functional and reporting currency for the year ended 30 September 2024, whilst considering to change the functional currency to USD in the ensuing year.

Due to uncertainties naturally obtaining in a multi currency system, and the subsequent change from ZWL to a structured currency, ZWG, the directors opted to delay the formal adoption of USD as functional currency.

The Directors believe that based on the period of time among other factors that the ZWG has been in the market, it is premature at this stage to conclude whether there have been changes in circumstances that would make the economy non hyperinflationary or not. Consequently, the Directors will continue to observe the behaviour of the economy and follow guidance from the Public Accountants and Auditors Board (PAAB).

Conversion from Zimbabwe Dollar to Zimbabwe Gold

Following the Introduction of the Zimbabwe Gold Currency by the Reserve Bank of Zimbabwe (RBZ) on 5 April 2024 and the Statutory Instrument (SI) 60 of 2024, all the previously existing Zimbabwe Dollar (ZWL) balances were converted into ZWG as at that date. The swap rate of ZWG 1:ZWL 2 498.7242 was used as guided by the closing interbank exchange rate and the price of gold as at that date. The previously reported balances and transactions between 1 October 2023 and 31 March 2024 were inflated to the 31st of March 2024.

2.1.2 Changes in accounting policy and disclosures

(a) New standards, amendments and interpretations effective for the first time for 30 September 2024 year end that are relevant to the Company:

At the date of authorisation of these financial statements, several new but not yet effective, Standards and amendments to existing Standards, and Interpretations have been published by the IASB. None of these Standards or amendments to existing Standards have been adopted early by the Company.

Management anticipates that all relevant pronouncements will be adopted for the first period beginning on or after the effective date of the pronouncement. New Standards, amendments and Interpretations not adopted in the current year have not been disclosed as they are not expected to have a material impact on the Company's financial statements.

IAS 8 - Definition of Accounting Estimates (Amendments to IAS 8)

- The amendments include a definition of 'accounting estimates' as well as other amendments to IAS 8 that will

Statement of accounting policies

For the year ended 30 September 2024

2.1.2 Changes in accounting policy and disclosures (continued)

help entities distinguish changes in accounting policies from changes in accounting estimates;

- This distinction between these two types of changes is important as changes in accounting policies are normally applied retrospectively to past transactions and events, whereas changes in accounting estimates are applied prospectively to future transactions and events;
- The amendments affect all entities that could potentially have a change in accounting estimate or change in accounting policy; and
- These amendments could have the potential to have a significant impact if an entity has incorrectly concluded a transaction is a change in accounting estimate rather than a change in accounting policy or vice versa.

The amendments are effective for reporting periods beginning on or after 1 January 2023.

Disclosure of Accounting Policies (Amendments to IAS 1 and Practice Statement 2)

- The amendments to IAS 1 require reporting entities to disclose their material accounting policy information rather than their significant accounting policies. The amendments to IFRS Practice Statement 2 provide guidance on how to apply the concept of materiality to accounting policy disclosures;
- These amendments were issued as a result of feedback received indicating that reporting entities needed more guidance when determining what accounting policy information should be disclosed;
- The amendments affect all entities that could potentially have a change in accounting estimate or change in accounting policy; and
- These amendments impact what accounting policies are disclosed which could affect investors decisions.

The amendments are effective for reporting periods beginning on or after **1 January 2023**.

IFRS 12 - Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to IAS 12)

- The amendments require an entity to recognise deferred tax on certain transactions (eg leases and decommissioning liabilities) that give rise to equal amounts of taxable and deductible temporary differences on initial recognition;
- The amendments clarify that the initial recognition exemption set out in IAS 12 'Income Taxes' does not apply and entities are required to recognise deferred tax on these transactions. The aim of the amendments is to reduce diversity in the reporting of deferred tax on leases and decommissioning obligations;
- The amendments affect all entities with leases accounted for under IFRS 16; and
- The impact is on initial recognition of these transactions with the aim to reduce diversity in practice. In many instances it will not have a major impact.

The amendments are effective for reporting periods beginning on or after **1 January 2023**.

- (b) **New standards, amendments and interpretations issued but not effective for 30 September 2024 year end that are relevant to the Company but have not been early adopted:**
At the date of authorisation of these financial statements, the Company has not applied the following new and revised IFRS

Accounting Standards that have been issued but are not yet effective. The Directors anticipate that the adoption of these standards and interpretations in future years will have no material impact on the financial statements of the Company.

IAS 1 - Classification of Liabilities as Current or Non-current (Amendments to IAS 1)

The amendments clarify the guidance in IAS 1 by:

- The amendments elaborate on guidance set out in IAS 1 by clarifying that the classification of a liability as either current or non-current is based on the entity's rights at the end of the reporting period;
- The amendments elaborate on guidance set out in IAS 1 by stating that management's expectations around whether they will defer settlement or not does not impact the classification of the liability;
- And also adding guidance about lending conditions and how these can impact classification and including requirements for liabilities that can be settled using an entity's own instruments;
- The amendments should be applied retrospectively, with entities being allowed to apply them to an earlier period, as long as they disclose that they have done so;
- The amendments affect entities with borrowing arrangements so therefore the impact could be widespread; and
- These amendments could have a significant impact on an entity's presentation of their borrowings which in turn could impact important financial ratios.

The amendments are effective for reporting periods beginning on or after **1 January 2024**.

IAS 1 - Non-current Liabilities with Covenants (Amendments to IAS 1)

The amendments clarify the guidance in IAS 1 by:

- The amendments set out in 'Non-current Liabilities with Covenants (Amendments to IAS 1)' state that at the reporting date, the entity does not consider covenants that will need to be complied with in the future, when considering the classification of the debt as current or non-current. Instead, the entity should disclose information about these covenants in the notes to the financial statements;
- The IASB wants these amendments to enable investors to understand the risk that such debt could become repayable early and therefore improving the information being provided on the long-term debt;
- The amendments affect entities with borrowing arrangements so therefore the impact could be widespread; and
- These amendments could have a significant impact on an entity's presentation of their borrowings which in turn could impact important financial ratios.

The amendments are effective for reporting periods beginning on or after **1 January 2024**.

IFRS 16 - Lease Liability in a Sale and Leaseback (Amendments to IFRS 16)

- The amendments state that previously IFRS 16 only included guidance on how to account for sale and leaseback transactions at the date of the transaction itself. However, the Standard did not specify any subsequent accounting when reporting on the sale and lease back transaction after that date;

Statement of accounting policies

For the year ended 30 September 2024

2.1.2 Changes in accounting policy and disclosures (continued)

- As a result, without further requirements, when the payments include variable lease payments there is a risk that a modification or change in the leaseback term could result in the seller-lessee recognising a gain on the right of use they retained even though no transaction or event would have occurred to give rise to that gain;
- Consequently, the IASB decided to include subsequent measurement requirements for sale and leaseback transactions to IFRS 16, as amendments affect entities accounting for a sale and leaseback transaction; and
- These amendments would only impact the subsequent accounting for a sale and leaseback transaction, while these amounts could be material, in most cases it is unlikely to have a significant impact.

The amendments are effective for reporting periods beginning on or after **1 January 2024**.

IAS 7 & IFRS 7 - Supplier Finance Arrangements (Amendments to IAS 7 and IFRS 7)

- The amendments require additional disclosures that complement the existing disclosures in these two Standards. They require entities to disclose:
 - the terms and conditions of the arrangement;
 - the amount of the liabilities that are part of the arrangements, breaking out the amounts for which the suppliers have already received payment from the finance providers, and stating where the liabilities are included on the statement of financial position;
 - ranges of payment due dates; and
 - liquidity risk information.
- These additional disclosure requirements address investors wanting more visibility around supplier finance arrangements, which in some jurisdictions around the world are better known as reverse factoring arrangements;
- The amendments apply to all entities that engage in supplier financing arrangements; and
- The amendments will require new disclosures to be prepared with more detailed information provided on their supplier finance arrangements. Depending on the complexity or volume of such arrangements this may result in significantly more disclosures.

The amendments are effective for reporting periods beginning on or after **1 January 2024**.

IFRS S1 (General Requirements for Disclosure of Sustainability-related Financial Information)

- The objective is to require an entity to disclose information about its sustainability-related risks and opportunities that is useful to primary users of general purpose, financial reports in making decisions relating to providing resources to the entity;
- The Company shall apply this Standard in preparing and reporting sustainability-related financial disclosures in accordance with IFRS Sustainability Disclosure Standards. Sustainability-related risks and opportunities that could not reasonably be expected to affect an entity's prospects are outside the scope of this Standard;
- Fair presentation requires disclosure of relevant information about sustainability-related risks and opportunities that could reasonably be expected to affect the entity's prospects, and their faithful representation in accordance with the principles set out in this Standard. To achieve faithful representation, an entity shall provide a complete, neutral

and accurate depiction of those sustainability-related risks and opportunities;

- The amendments apply to all entities that engage in supplier financing arrangements; and
- Materiality is an entity-specific aspect of relevance based on the nature or magnitude, or both, of the items to which the information relates, in the context of the entity's sustainability-related financial disclosures.

The amendments are effective for reporting periods beginning on or after **1 January 2024**.

IFRS S2 (Climate-related Disclosures)

IFRS S2 has been developed to capture climate-specific requirements which includes:

- Strategy disclosures that distinguish between physical and transitional risks;
- Disclosure of their plans to respond to climate-related risks and opportunities, including how climate-related targets are set and any targets it is required to meet by law or regulation; and
- Companies should perform scenario analysis to explain how various climate-related events may impact the business in the future; and
- Climate-related metrics and target disclosures should include:
 - Cross-industry metrics that are relevant to all companies e.g. greenhouse gas emissions, refer to our publication on 'What are sustainability scope 1, 2 and 3 emissions?' for more information on greenhouse gas emissions;
 - Industry-based metrics relevant to companies within the related industries; and
 - Company specific metrics considered by the board or management when measuring progress towards set targets.

The amendments are effective for reporting periods beginning on or after **1 January 2024**.

IAS 21 - Lack of Exchangeability (Amendments to IAS 21)

- The amendments include both updates to guidance to assist preparers in correctly accounting for foreign currency items and increases the level of disclosure required to help users understand the impact of a lack of exchangeability on the financial statements.
- The amendments:
 - introduce a definition of whether a currency is exchangeable, and the process by which an entity should assess this exchangeability. This includes application guidance included in a new Appendix A;
 - provide guidance on how an entity should estimate a spot exchange rate in cases where a currency is not exchangeable; and
 - require additional disclosures in cases where an entity has estimated a spot exchange rate due to a lack of exchangeability, including the nature and financial impact of the lack of exchangeability, and details of the spot exchange rate used and the estimation process.
- These amendments only affect entities that are required to report foreign currency transactions where there is a long-term lack of exchangeability between currencies; and
- Affected entities may be required to adjust the carrying value of any monetary items that have been translated from a foreign currency which is not exchangeable, and will be required to provide additional disclosures on how the new spot rate has been determined.

Statement of accounting policies

For the year ended 30 September 2024

2.1.2 Changes in accounting policy and disclosures (continued)

The amendments are effective for reporting periods beginning on or after **1 January 2025**.

IFRS 18 Presentation and Disclosures in Financial Statements

IFRS 18 was developed to address the lack of detailed requirements in IAS 1 for the following areas:

- the classification of income and expenses in the statement of profit or loss;
- the presentation of subtotals in the statement of profit or loss; and
- the aggregation and disaggregation of information presented in the primary financial statements or disclosed in the notes.

IFRS 18 requires foreign exchange differences to be classified in the same category of the statement of profit or loss as the income and expenses from items that gave rise to the foreign exchange differences.

The assessment of an entity's main business activities is therefore going to be a key judgement which may significantly impact the geography of where items appear in the statement of profit or loss.

IFRS 18 introduces the concept of a 'management-defined performance measure' (MPM) in order to address the significant diversity in practice currently seen when it comes to so-called 'alternative performance measures' and any non-GAAP performance measures.

The Standard requires entities that present expenses classified by function to disclose the amount of depreciation, amortisation, employee benefits, impairment losses and write-down of inventories included in each line in the operating category of the statement of profit or loss.

The amendments are effective for reporting periods beginning on or after **1 January 2027**.

2.2 Segment reporting

An operating segment is a component of an entity:

- That engages in business activities from which it may earn revenues and incur expenses (including revenues and expenses relating to transactions with other components of the same entity);
- Whose operating results are regularly reviewed by the entity's chief operating decision maker to make decisions about resources to be allocated to the segment and assess its performance; and
- For which discrete financial information is available.

The Company operates within the cable manufacturing industry. The activities of the Company are entirely related to the manufacturing and selling of cable and allied products for the transmission and distribution of electrical energy and information, primarily in Zimbabwe.

The operating segment is reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker, responsible for allocating resources, assessing performance of the operating segment and making strategic decisions, has been identified as the executive management team.

2.3 Foreign currency translation

Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates are recognised in the income statement.

Foreign exchange gains and losses that relate to borrowings are presented in the statement of comprehensive income within 'finance income or costs'. All other foreign exchange gains and losses are presented in the statement of comprehensive and a net basis, within 'other (losses)/gains-net'.

2.4 Property, plant and equipment

Property, plant and equipment is initially stated at historical cost less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably.

The carrying amount of any component accounted for as a separate asset is derecognised when replaced. All other repairs and maintenance costs are charged to statement of comprehensive income during the reporting period in which they are incurred.

Land is not depreciated. Depreciation on other assets is calculated using the straight line method to allocate cost to their residual values over their estimated useful lives, as follows:

Buildings	40 years
Plant and equipment	10 to 15 years
Motor vehicles	3 to 10 years
Office equipment	3 to 5 years

An asset's carrying amount is immediately written down to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal of assets are determined by comparing proceeds with the carrying amount. These are included in the statement of profit or loss and other comprehensive income.

2.5 Revaluation of property, plant and equipment

Initial application of a policy to revalue assets according to IAS 16 Property, plant and equipment - Revaluation of property, plant and equipment.

CAFCA Limited has adopted the revaluation model for its property, plant, and equipment as of 30 September 2024, in accordance with IAS 16 - Property, Plant and Equipment.

This represents an initial application of a revaluation policy for these assets, rather than a change in accounting policy under IAS 8 - Accounting Policies, Changes in Accounting Estimates, and Errors.

Statement of accounting policies

For the year ended 30 September 2024

2.5 Revaluation of property, plant and equipment continued)

The Company previously carried property plant and equipment, including land and buildings, at cost less accumulated depreciation. The revalued property consists of industrial land and buildings. The fair value of properties was determined by using market, income and cost approaches. The difference between the carrying amount before revaluation and the fair value as at 30 September 2024 was deemed to be the revaluation in ZWG terms and was classified under other comprehensive income.

At date of revaluation, 30 September 2024, the properties' fair values were determined by Knight Frank Zimbabwe, an accredited independent valuer. The valuations performed by the valuer are based on active market prices, significantly adjusted for difference in the nature, location or condition of the specific property.

The change was made to provide a more relevant and reliable reflection of the fair value of the company's assets in the financial statements. This approach better aligns the book values with the current market conditions, supporting more informed decision-making by users of the financial statements.

Transition

In accordance with IAS 8.17 Accounting Policies, Changes in Accounting Estimates, this change in policy has been applied prospectively.

Valuation of industrial properties

Valuations of industrial properties are based on comparative and investment methods.

2.5 Revaluation of property, plant and equipment continued)

Fair value hierarchy

The following table shows an analysis of the fair values of property, plant and equipment recognised in the statement of financial position by level of the fair value hierarchy:

	Land ZWG	Buildings ZWG	Plant and equipment ZWG	Total ZWG
Fair value measurement using significant unobservable inputs (Level 3)				
Net replacement value	107 010 000	150 612 000	252 069 300	509 691 300
Reconciliation of revalued amounts:				
Opening carrying amount	288 114	1 420 065	5 253 708	6 961 887
Depreciation charge for the year	-	(4)	(6 550)	(6 554)
Carrying amount under cost model	288 114	1 420 061	5 247 158	6 955 333
Revaluation surplus	106 721 886	149 191 939	246 822 142	502 735 967
Closing carrying amount	107 010 000	150 612 000	252 069 300	509 691 300

The investment method involves the capitalisation of expected rental income by an appropriate rate. The comparative approach seeks to ascribe to the subject property a value similar to that achieved for comparable properties. Through the comparative method, rental value rates and capitalisation rates for similar properties sold are assessed. After appropriate adjustments to the comparables to reflect the type of the property, quality, location and risk, the rental value and capitalisation rates of the subject property are determined.

Valuation of holiday homes

The market approach was used to value holiday home in Nyanga. This approach adopts the principle that the value of one property may be derived by comparing it directly with market transactions for similar properties.

Valuation considerations

There is limited and dated transactions evidence. The economy is dollarising but there are limited United States dollars (USD) available for purchases. Our valuation is based on comparable sales data which has been adjusted to reflect the quality and location of the subject Property. Although the issue of sustainability and ESG-related factors is becoming increasingly important globally, the local market is yet to develop robust and widely adopted practices and matrices to measure building performance and, at present, there is no legislation and regulation on ESG-related issues. Furthermore, there is no evidence to suggest that participants within the real estate sector are factoring these considerations in their decision-making.

Statement of accounting policies

For the year ended 30 September 2024

2.6 Impairment of non-financial assets

Assets that have an indefinite useful life are not subject to amortisation and are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired.

Other assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from other assets or groups of assets ("Cash generating units"). Non-financial assets other than goodwill that suffered an impairment are reviewed at the end of each reporting period.

2.7 Financial instruments

Recognition and derecognition

Financial assets and financial liabilities are recognised when the Company becomes a party to the contractual provisions of the financial instrument.

Financial assets are derecognised when the contractual rights to the cash flows from the financial asset expire, or when the financial asset and substantially all the risks and rewards are transferred. A financial liability is derecognised when it is extinguished, discharged, cancelled or expires.

Classification and initial measurement of financial assets

Except for those trade receivables that do not contain a significant financing component and are measured at the transaction price in accordance with IFRS 15, all financial assets are initially measured at fair value adjusted for transaction costs (where applicable).

Financial assets, other than those designated and effective as hedging instruments, are classified into the following categories:

- amortised cost;
- fair value through profit or loss (FVTPL); and
- fair value through other comprehensive income (FVOCI).

In the periods presented, the Company does not have any financial assets categorised as FVOCI.

The classification is determined by both:

- the entity's business model for managing the financial asset; and
- the contractual cash flow characteristics of the financial asset.

All income and expenses relating to financial assets that are recognised in profit or loss are presented within finance costs, finance income or other financial items, except for impairment of trade receivables which is presented within other expenses.

Financial assets at amortised cost

Financial assets are measured at amortised cost if the assets meet the following conditions (and are not designated as FVTPL):

- they are held within a business model whose objective is to hold the financial assets and collect its contractual cashflows; and

- the contractual terms of the financial assets give rise to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at fair value through profit or loss (FVTPL)

Financial assets that are held within a different business model other than 'hold to collect' or 'hold to collect and sell' are categorised at fair value through profit and loss. Further, irrespective of business model financial assets whose contractual cash flows are not solely payments of principal and interest are accounted for at FVTPL.

The category also contains a quoted equity investments. The Company accounts for the investments at FVTPL. For unquoted investments the Company made an irrevocable election to account them at fair value through other comprehensive income (FVOCI).

Assets in this category are measured at fair value with gains or losses recognised in profit or loss. The fair values of financial assets in this category are determined by reference to active market transactions or using a valuation technique where no active market exists.

Financial assets at fair value through other comprehensive income (FVOCI)

The Company accounts for financial assets at FVOCI if the assets meet the following conditions:

- they are held under a business model whose objective it is "hold to collect" the contractual cash flows and sell; and
- the contractual terms of the financial assets give rise to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Any gains or losses recognised in other comprehensive income (OCI) will be recycled upon derecognition of the asset.

Impairment of financial assets

IFRS 9's impairment requirements use forward-looking information to recognise expected credit losses – the 'expected credit loss (ECL) model'. Instruments within the scope of the requirements included loans and other debt-type financial assets measured at amortised cost and FVOCI, trade receivables, contract assets recognised and measured under IFRS 15 and loan commitments and some financial guarantee contracts (for the issuer) that are not measured at fair value through profit or loss

All impairment losses are recognised in profit or loss.

The Company considers a broader range of information when assessing credit risk and measuring expected credit losses, including past events, current conditions, reasonable and supportable forecasts information that affect the expected collectability of the future cash flows of the instrument.

In applying this forward-looking approach, a distinction is made between:

- financial instruments that have not deteriorated significantly in credit quality since initial recognition or that have low credit risk ('Stage 1'); and
- financial instruments that have deteriorated significantly in credit quality since initial recognition and whose credit risk is not low ('Stage 2'); and
- 'Stage 3' would cover financial assets that have objective evidence of impairment at the reporting date.

Statement of accounting policies

For the year ended 30 September 2024

2.7 Financial instruments (continued)

Impairment of financial assets (continued)

'12-month expected credit losses' are recognised for the first category while 'lifetime expected credit losses' are recognised for the second category.

Measurement of the expected credit losses is determined by a probability-weighted estimate of credit losses over the expected life of the financial instrument.

Trade and other receivables

The Company makes use of a simplified approach in accounting for trade and other receivables, recognise the loss allowance as lifetime expected credit losses. These are the expected shortfalls in contractual cash flows, considering the potential for default at any point during the life of the financial instrument. In calculating, the Company uses its historical experience, external indicators and forward-looking information to calculate the expected credit losses using a provision matrix.

The Company considers the following as constituting an event of default:

- The financial asset that are at least 120 days past due on any material credit obligation to the Company; or
- The financial asset is unlikely to pay its credit obligations to the Company in full.

Trade receivables are written off (ie derecognised) when there is no reasonable expectation of recovery. Failure to make payments within 240 days from the invoice date and failure to engage with the Company on alternative payment arrangement amongst other is considered indicators of no reasonable expectation of recovery.

Financial liabilities

Financial liabilities are initially measured at fair value, and, where applicable, adjusted for transaction costs unless the Company designated a financial liability at fair value through profit or loss.

Subsequently, financial liabilities are measured at amortised cost using the effective interest method and financial liabilities designated at FVTPL, are subsequently carried at fair value with gains or losses recognised in profit or loss.

All interest-related charges and, if applicable, changes in an instrument's fair value that are reported in profit or loss are included within finance costs or finance income.

Cash and cash equivalents

Cash and cash equivalents comprise cash on hand, deposits held on call with banks, and investments in money market instruments. Cash and cash equivalents are measured at fair value, with any impairment or appreciation in value of foreign currency denominated balances arising from changes in exchange rates, being written off or credited against the exchange gains and losses account in profit or loss. In the statement of financial position, bank overdrafts are shown under current liabilities.

Trade and other payables

Trade and other payables represent liabilities for goods and services provided to the Company prior to the end of the financial year which are unpaid. The amounts are unsecured and are usually paid within two months of recognition.

Trade and other payables are classified as current liabilities unless payment is not due within twelve months after the reporting date.

Trade and other payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

Offset

If a legally enforceable right exists to set-off recognised amounts of financial assets and liabilities, which are determinable monetary amounts and the Company intends to settle on a net basis, the relevant financial assets and liabilities are offset.

2.8 Inventories

Raw materials, work in progress and finished goods are stated at the lower of cost and net realisable value. Cost comprises direct raw materials, direct labour, other direct costs and related production overheads based on normal operating capacity. Cost excludes borrowing costs. Costs are assigned to individual items of inventory on the basis of weighted average costs. Costs of purchased inventory are determined after deducting rebates and discounts. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and the estimated selling expenses. Obsolete, redundant and slow moving stocks are identified and written down to net realisable value.

2.9 Share capital

Ordinary shares are classified as equity.

Incremental costs directly attributable to the issue of new ordinary shares or options are shown in equity as a deduction, net of tax, from the proceeds.

2.10 Current income and deferred tax

The income tax expense or credit for the period is the tax payable on the current year's taxable income based on the applicable income tax rate adjusted by changes in deferred income tax assets and liabilities attributable to temporary differences and to unused tax losses.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the reporting date in Zimbabwe. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred tax is provided in full, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill. Deferred tax is also not accounted for if it arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss.

Deferred tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the reporting date and are expected to apply when the related deferred tax asset is realised or liability is settled. Deferred tax assets are recognised only if it is probable that future taxable amounts

Statement of accounting policies

For the year ended 30 September 2024

2.10 Current income and deferred tax (continued)

will be available to utilise those temporary differences and losses.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current income tax assets and liabilities and when the deferred income tax balances relate to the same taxation authority. Current income tax assets and liabilities are offset where the Company has a legally enforceable right to offset and intends either to settle the balance on a net basis, or to realise the asset and settle the liability simultaneously.

Current income and deferred tax is recognised in the statement of comprehensive income, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case the tax is also recognised in other comprehensive income or directly in equity, respectively.

2.11 Provisions

Provisions are recognised when the Company has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation and the amount can be reliably estimated. Provisions are not recognised for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period. The discount rate used to determine the present value is a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to passage of time is recognised as interest expense.

2.12 Revenue recognition

The Company manufactures and supplies cable and allied products. Revenue is recognised when control of the products has transferred, being when the products are delivered to the customer. This is the point at which the performance obligation is satisfied and a receivable is recognised as the considerations is unconditional and only the passage of time is required before payment is due.

The Company recognises contract liabilities for consideration received in respect of unsatisfied performance obligations and reports these amounts as other liabilities in the statement of financial position. Similarly, if the Company satisfies a performance obligation before it receives the consideration, the Company recognises either a contract asset or a receivable in its statement of financial position, depending on whether something other than the passage of time is required before the consideration is due.

(a) Sales of goods - wholesale

Revenue from the sale of goods is recognised at a point in time when the products have been delivered to the customer. Delivery does not occur until the products have been delivered to the specified location, the risk of obsolescence has been transferred to the customer and there are no unfulfilled

obligations that could affect the customer's acceptance of the products.

(b) Sales of goods - retail

Revenue from the sales of goods at a point in time recognised when the Company sells a product to the customer.

(c) Consignment inventory

Revenue from consignment arrangement is recognised at a point in time when the goods have been sold by the consignee. Control of goods is not passed to the consignee when the consignment stock is held by the consignee.

2.13 Interest income

Interest income is recognised using the effective interest method. When a loan and receivable is impaired, the Company reduces the carrying amount to its recoverable amount, being the estimated future cash flow discounted at the original effective interest rate of the instrument, and continues unwinding the discount as interest income. Interest income on impaired loans is recognised using the original effective interest rate.

2.14 Employee benefits

(a) Pension obligations

The Company operates a defined contribution plan. A defined contribution plan is a pension plan under which the Company pays contributions to a privately administered pension plan on a contractual basis. The Company has no further legal or constructive obligation to pay contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The pension plan is funded by payments from employees and by the Company and by taking account of the recommendations of independent actuaries. The contributions are recognised as employee benefit expenses when they are due.

(b) Short term obligations

Liabilities for wages and salaries, including non-monetary benefits and that are expected to be settled wholly within twelve months after the end of the period in which the employees render the related service are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liabilities are presented as current employee benefit obligations in the statement of financial position.

(c) Bonus plans

The Company recognises a liability and an expense for bonuses based on a formula that takes into consideration the profit attributable to the Company's shareholders after certain adjustments. The Company recognises a provision where contractually obliged or where there is a past practice that has created a constructive obligation.

(d) Share-based payments

Share based compensation benefits are provided to employees through an equity settled share-based compensation plan. The fair value of options granted under the share-based compensation plan is recognised as employee benefits expense with a corresponding increase in equity. The total granted under the share-based compensation plan is recognised as employee benefits expense with a corresponding increase in equity. The total amount to be expensed is determined by reference to the fair value of the options granted:

- including any market performance conditions (e.g. the Company's share price)

Statement of accounting policies

For the year ended 30 September 2024

2.14 Employee benefits (continued)

(d) Share-based payments (continued)

- excluding the impact of any service and non-market performance vesting conditions (e.g. profitability, sales growth targets and remaining an employee of the entity over a specified time period), and
- including the impact of any non-vesting conditions (e.g. the requirement for employees to save or holding shares for a specific period of time).

When the options are exercised, the Company transfers the appropriate amount of shares to the employee. The proceeds received net of any directly attributable transaction costs are credited directly to equity.

2.15 Dividends

Provision is made for the amount of any dividend declared, being appropriately authorised and no longer at the discretion of the Company, on or before the end of the reporting period but not distributed at the end of the reporting period.

2.16 Earnings per share

(a) Basic earnings per share

Basic earnings per share are calculated by dividing:

- the profit attributable to owners of the Company, excluding any costs of servicing equity other than ordinary shares;
- by the weighted average number of ordinary shares outstanding during the financial year, adjusted for bonus elements in ordinary shares issued during the year excluding treasury shares.

(b) Diluted earnings per share

Diluted earnings per share adjusts the figures used in the determination of basic earnings per share to take into account:

- the after income tax effect of interest and other financing costs associated with dilutive potential ordinary shares, and
- the weighted average number of additional ordinary shares that would have been outstanding assuming the conversion of all dilutive potential ordinary shares.

3 Financial risk management

3.1 Financial risk factors

The Company's activities expose it to a variety of financial risks: market risk (including foreign exchange risk, interest rate risk and price risk), credit risk and liquidity risk. The Company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the Company's future financial performance. The primary objective of the financial risk management function is to establish risk limits and to ensure that risk stays within limits.

Risk management is carried out under policies approved by the Board of Directors (the "Board"). The Board provides principles for overall risk management, as well as policies covering specific areas, such as foreign exchange risk, interest rate risk, credit risk and the investment of excess liquidity.

(a) Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in the market prices. The Company's market risks arise from open positions in foreign currencies and interest bearing assets and liabilities, to the extent that these are exposed to general and specific market movements.

i) Foreign exchange risk

Foreign exchange risk is the risk arising from fluctuations in foreign exchange rates and their effect on future commercial transactions or recognised assets and liabilities denominated

in a currency that is not the Company's functional currency. The Company is exposed to foreign exchange risk arising from various currency exposures on purchases that are denominated in a currency other than the ZWG, primarily with respect to the South African Rand ("ZAR") and the USD.

Foreign exchange risk is the risk arising from fluctuations in foreign exchange rates and their effect on future commercial transactions or recognised assets and liabilities denominated in a currency that is not the entity's functional currency. The Company's primary method of managing foreign exchange risk is to match the Company's principal cash outflows to the currency in which the principal cash inflows are denominated.

ii) Price risk

Price risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices, other than those arising from interest rate risk and currency risk, whether those changes are caused by factors specific to the individual financial instrument or its issuer or factors affecting all financial instruments traded in the market.

The Company is not exposed to equity securities or commodity price risk because it had no assets nor obligations that expose the Company to these risks at the reporting date (2023:ZWG nil).

iii) Cash flow and fair value interest rate risk

Cash flow interest rate risk is the risk that the future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Fair value interest rate risk is the risk that the fair value of a financial instrument will fluctuate because of changes in market interest rates.

As the Company has no interest-bearing assets, the Company's income is substantially independent of changes in market interest rates (2023:ZWG15m).

(b) Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge a contract. Credit risk potentially arises from cash and cash equivalents, deposits with banks and financial institutions, loans and receivables, investments, as well as credit exposures to wholesale and retail customers including outstanding trade receivables. The Company manages and analyses credit risk for each of their new clients before standard payment and delivery terms and conditions are offered.

Only approved financial institutions with sound capital bases are utilised to invest surplus funds. For customers, Credit control assesses the credit worthiness of the customers before credit is granted.

The executive management team meets regularly to manage the concentration of credit risk and set and assess limits for the individual customer. The executive management team assesses the credit risk quality of the customer, taking into account its financial position, past experience and other factors. Counterparty specific exposure is monitored against concentration of credit risk in relation to the total credit risk exposure to all counterparties. The Company has well established credit control procedures that monitor activity on a customer account and allow for remedial action should the customer not comply with payment terms. Payment terms and credit limits vary between customers.

Credit limits are monitored based on the financial position and history of the customer's ability to pay. In the view of management, the credit quality of trade receivables is considered sound.

Statement of accounting policies

For the year ended 30 September 2024

3.1 Financial risk factors (continued)

(b) Credit risk (continued)

The Company's maximum exposure to credit risk by class of financial asset on statement of financial position is as follows:

	2024 ZWG	2023 ZWG
Trade and other receivables (excluding prepayments and statutory receivables)	59 581 104	72 923 029
Cash and cash equivalents	14 361 284	10 331 107
	73 942 388	83 254 136

The credit quality of financial assets can be assessed by reference to external credit ratings (if available) or to historical information about counterparty default rates:

	2024 ZWG	2023 ZWG
Trade receivables (excluding amounts due from related parties)		
Counterparties without external credit rating:		
Group 1		
Existing customers with no defaults in the past.	59 581 104	72 923 029
Group 2		-
Existing customers with some defaults in the past.	-	-
All defaults were fully recovered.	-	-
Group 3		
Existing customers with defaults not recovered.	-	-
	59 581 104	72 923 029

The Company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables.

The impairment of trade receivables is carried out at each reporting date using the expected credit loss model. This model utilises a provision matrix in which the Company's receivables are stratified into groups with similar risk characteristics. Historical credit loss rates are calculated on a weighted average basis. These credit loss rates are then used as the baseline rates for determining the loss rate for each customer group. The credit loss rates are then adjusted for forward looking information and applied against each bucket of trade receivables outstanding at the reporting date to produce the expected credit loss in the period.

Trade receivables mainly comprise of foreign customers (Malawi, Mozambique, Tanzania and Rwanda). Expected average GDP growth rate, interest rates and exchange rates specific to the above mentioned countries were taken into account in developing the provision matrix. Apart from other factors specific to the individual debtors, the expected inflation rate of United States of America was taken into account since the outstanding debts are mainly USD denominated.

Credit limits are established based on internal rating criteria. Management assesses the credit quality of the customer taking into account its financial position, past experience and other factors. The utilisation of credit limits is regularly monitored. Outstanding customer receivables are regularly monitored. The Company however reduced its credit sales during the year because it perceived a value mis-match between credit offered and value received at the end of the credit term. The Company evaluates the concentration of risk with respect to trade receivables as low, as its customers are granted short credit terms.

Statement of accounting policies

For the year ended 30 September 2024

3.1 Financial risk factors (continued)

(b) Credit risk (continued)

Set out below is the information about the credit risk exposure on the Company's trade receivables using a provision matrix:

	Current ZWG	More than 30 days past due ZWG	More than 60 days past due ZWG	More than 90 days past due ZWG	More than 120 days past due ZWG	Total ZWG
30 September 2024						
Expected credit loss rate	0.13%	0.20%	0.17%	0.05%	100%	-
Gross carrying amount						
– trade receivables	12 819 747	8 211 559	9 274 485	29 339 465	9 675 050	69 320 306
Credit loss allowance	(16 033)	(16 040)	(16 040)	(16 040)	(9 675 050)	(9 739 202)
Net carrying amount	12 803 714	8 195 519	9 258 445	29 323 425	-	59 581 104

Debt securities and other financial assets at amortised cost

All of the Company's debt investments at amortised cost are considered to have low credit risk, and the loss allowance recognised during the period was therefore limited to 12 months expected losses. Instruments are considered to be of low credit risk when they have a low risk of default and the issuer has a strong capacity to meet its contractual cash flow obligations in the near term.

The company does not hold any security for amounts receivable from customers. None of the amounts due from related parties are past due or impaired and repayments have been received regularly and on time historically. The Company has procedures in place to assess whether to enter into once off transactions with third parties, including mandatory credit checks.

Set out below is the information about the credit risk exposure on the Company's trade receivables using a provision matrix:

	Current ZWG	More than 30 days past due ZWG	More than 60 days past due ZWG	More than 90 days past due ZWG	More than 120 days past due ZWG	Total ZWG
30 September 2023						
Expected credit loss rate	0%	22%	1.47%	4.07%	100%	-
Gross carrying amount						
– trade receivables	50 137 715	1 121 718	16 626 123	6 018 264	22 771	73 926 591
Credit loss allowance	(245 198)	(245 198)	(245 198)	(245 198)	(22 771)	(1 003 562)
Net carrying amount	49 892 517	876 520	16 380 925	5 773 066	-	72 923 029

Debt securities and other financial assets at amortised cost

All of the Company's debt investments at amortised cost are considered to have low credit risk, and the loss allowance recognised during the period was therefore limited to 12 months expected losses. Instruments are considered to be of low credit risk when they have a low risk of default and the issuer has a strong capacity to meet its contractual cash flow obligations in the near term.

The company does not hold any security for amounts receivable from customers. None of the amounts due from related parties are past due or impaired and repayments have been received regularly and on time historically. The Company has procedures in place to assess whether to enter into once off transactions with third parties, including mandatory credit checks.

Statement of accounting policies

For the year ended 30 September 2024

3.1 Financial risk factors (continued)

(c) Liquidity risk

Liquidity risk is the risk that the Company may fail to meet its payment obligations when they fall due, the consequences of which may be the failure to meet the obligations to creditors. Prudent liquidity risk management implies maintaining sufficient cash and the availability of funding through an adequate amount of committed credit facilities to meet obligations when due. The Company identifies this risk through periodic liquidity gap analysis and the maturity profile of assets and liabilities. Where major gaps appear, action is taken in advance to close or minimise the gaps.

Cash flow forecasting is performed by management. Management monitors rolling forecasts of the Company's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the Company does not breach borrowing limits or covenants on any of its borrowing facilities. Such forecasting takes into consideration the Company's debt financing plans, covenant compliance and compliance with internal statement of financial position ratio targets.

Surplus cash held by the Company over and above the balance required for working capital management, is invested in interest bearing current accounts and time deposits, choosing instruments with appropriate maturities or sufficient liquidity to provide sufficient headroom.

The table below analyses the Company's non-derivative financial assets and financial liabilities into relevant maturity groupings based on the remaining period at the statement of financial position date to the contractual maturity date.

The amounts disclosed in the table are the contractual undiscounted cash flows. Balances due within twelve months equal their carrying balances as the impact of discounting is not significant.

	Up to 1 year ZWG	1 year to 5 years ZWG	Total ZWG
At 30 September 2024			
Assets			
Trade and other receivables (excluding prepayments and statutory receivables)	59 581 104	-	59 581 104
Cash and cash equivalents	14 361 284	-	14 361 284
	73 942 388	-	73 942 388
Liabilities			
Trade and other payables (excluding statutory liabilities)	29 107 152	-	29 107 152
Borrowings	-	-	-
Dividend payable	41 387 905	3 120 251	44 508 156
	70 495 057	3 120 251	73 615 308
Liquidity gap	3 447 331	-	327 080
Cumulative liquidity surplus	3 447 331	(3 120 251)	327 080

The liquidity risk on foreign creditors and lenders has increased due to delay of foreign payments owing to the challenge of inadequate nostro funds that the country is grappling with. Refer note 10 for additional disclosures under cash and cash equivalents. The Company has mitigating measures in place to manage the increase in liquidity risk such as ongoing engagement with banks and participating on the forex interbank market.

Statement of accounting policies

For the year ended 30 September 2024

3.1 Financial risk factors (continued)

(c) Liquidity risk

	Up to 1 year ZWG	1 year to 5 years ZWG	Total ZWG
At 30 September 2023			
Assets			
Trade and other receivables (excluding prepayments and statutory receivables)	72 923 029	-	72 923 029
Cash and cash equivalents	10 331 107	-	10 331 107
	83 254 136	-	83 254 136
Liabilities			
Trade and other payables (excluding statutory liabilities)	18 781 359	-	18 781 359
Borrowings	15 082 156	-	15 082 156
Dividend payable	56 050 886	-	56 050 886
	89 914 401	-	89 914 401
Liquidity gap	(6 660 265)	-	(6 660 265)
Cumulative liquidity surplus	(6 660 265)	-	(6 660 265)

The liquidity risk on foreign creditors and lenders has increased due to delay of foreign payments owing to the challenge of inadequate nostro funds that the country is grappling with. Refer note 10 for additional disclosures under cash and cash equivalents. The Company has mitigating measures 'in place to manage the increase in liquidity risk such as ongoing engagement with banks and participating on the forex interbank market.

3.2 Capital management

The Company's objectives when managing capital are to safeguard the Company's ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders, and to maintain an optimal capital structure to reduce the cost of capital.

In order to maintain or adjust the capital structure, the Company may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares or sell assets to reduce debt.

The Company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents. Total capital is calculated as 'equity' as shown on the statement of financial position plus net debt.

	2024 ZWG	2023 ZWG
The gearing ratio as at 30 September was as follows:		
Total borrowings	-	15 082 156
Less: cash and cash equivalents	(14 361 284)	(10 331 107)
Net debt	(14 361 285)	4 751 049
Total equity	814 246 312	254 357 960
Total capital	799 885 027	259 109 009
Gearing ratio	(2%)	2%

Statement of accounting policies

For the year ended 30 September 2024

3.3 Fair value estimation

Observable inputs reflect market data obtained from independent sources and unobservable inputs reflect the Company's market assumptions. These two types of inputs have created the following fair value hierarchy:

Level 1

Quoted prices (unadjusted) in active markets for identical assets or liabilities. The level includes listed equity securities traded on active markets.

Level 2

Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices).

Level 3

Inputs for the asset or liability that is not based on observable market data (unobservable inputs). This level includes equity investments and debt instruments with significant unobservable components.

The hierarchy requires the use of observable market data when available. The Company considers relevant and observable market prices in its valuations where possible. The Company had no financial assets or financial liabilities carried at fair value at 30 September 2024 (2023: ZWGnil).

4 Critical accounting estimates and judgement

Estimates and judgements are continually evaluated and are based on historical experience and other factors (refer to note 2.1), including expectations of future events that are believed to be reasonable under the circumstances.

Critical accounting estimates and assumptions

The Company makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below.

a) Carrying amount of property, plant and equipment

The Company carried out an impairment assessment of plant and equipment as at 30 September 2024. The cash generating unit ("CGU") specifically tested for impairment was plant and equipment, which is the smallest group of assets that generate cash inflows independently of other assets held by the Company. There has been no impairment loss recognised for the year ended 30 September 2024 (2023: ZWG nil).

Indicators of impairment

In accordance with IAS 36, 'Impairment', an entity should assess at each reporting date whether there is any indication that an asset may be impaired. The following external and internal sources of information may be indications of impairment:

- The Company has been operating at below current expected monthly capacity level of 200 tonnes with production averaging 176 tonnes per month.
- Repairs and maintenance costs have continued to be significant and constitute approximately 42% of the carrying amount of plant and equipment.
- Prevailing foreign currency shortages adversely impact the Company's ability to import the required quantities of raw material which may impact production.

The recoverable amount of the CGU was determined based on value in use of the plant and equipment. The calculation was based on approved budgetary forecasts, internal forecasts

of operating costs, capital expenditure production volumes, costs of production, future cash flows for the next three years, inflation and long term real discount rates. The estimated future cash flows were based on the approved 2025 budget inflated by constant gross profit margins and revenue growth rates, which is based on the Zimbabwe National Budget. Long-term growth rates are based on the Business Monitor International ("BMI") reports, which are specific to Zimbabwe.

Impairment review

Also taken into account are the expectations about possible variations in the amount or timing of future cash flows and the time value of money. To address the time value of money, management determined the appropriateness of the applied discount rate. The discount rate applied is the country risk, which has been adjusted for foreign risk and specific risks relating to the Company.

All the above estimates are subject to risks and uncertainties including future availability or continued lack thereof of foreign currency. It is therefore possible that changes can occur which may affect the recoverability of the plant and equipment.

b) Useful lives and residual values of property, plant and equipment

The Company's management determines the estimated useful lives and related depreciation charges for its property, plant and equipment. These estimates are based on projected life cycles of these assets. It could change significantly as a result of technological innovations and competitor actions in response to severe industry cycles. Management will increase the depreciation charge where useful lives are less than previously estimated lives, or it will write off or write down technically obsolete or non-strategic assets that have been abandoned or sold.

c) Going concern

The Company's ability to continue operating as a going concern may be negatively impacted as the Company continues to operate in a volatile macroeconomic environment characterised by liquidity constraints and foreign currency shortages. The Company's ability to acquire imported raw materials is dependent on its ability to obtain adequate and affordable foreign currency.

The financial statements have been prepared on a going concern basis which assumes that the Company will continue in existence for the 'foreseeable future'.

Management assessed that the Company will continue operating as a going concern, citing the following:

- Revenue declined marginally during the year to ZWG 598 million compared to ZWG 630 million recorded during the 2023 financial year.
- The profitability of the Company also decreased marginally with the Company reporting a profit before income tax of ZWG156million for the year ended 30 September 2024, compared to a profit for the year of ZWG245 million for the same period last year.
- Continued cost containment and reduction measures, capital expenditure rationalisation and optimising efficiencies on existing capital.

Accordingly, the directors believe that it is appropriate for the financial statements to be prepared on a going concern basis.

d) Impairment of trade receivables and financial assets

The following are the critical judgements, apart from those involving estimations, that the directors have made in the

Statement of accounting policies

For the year ended 30 September 2024

4 Critical accounting estimates and judgement (continued)

d) Impairment of trade receivables and financial assets (continued)

process of applying expected credit losses model of impairing trade receivables:

- Significant increase of credit risk- in assessing whether the credit risk of an asset has significantly increased the Directors consider qualitative and quantitative reasonable and supportable forward-looking information.
- Model and assumptions used- the Company used a model and assumptions in measuring fair value of financial assets as well as in estimating ECL.

Directors have applied judgement in identifying the most appropriate model for each type of asset, as well as for determining the assumptions used in these models, including assumptions that relate to key drivers of credit risk.

- Business model assessment- the Company determines the business model at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. This assessment includes judgement reflecting all relevant evidence including how the performance of the assets is evaluated and their performance measured, the risks that affect the performance of assets and how these are managed.

5 Segment information

The executive management team is the Company's chief operating decision maker. Management has determined the operating segments based on the information reviewed by the executive management team for the purposes of allocating resources and assessing performance.

The executive management team considers the business from both a geographic and product perspective. The Company has one product line, and operates in one industry sector.

Revenue is primarily from customers who are domiciled in Zimbabwe though other revenue is from external customers domiciled in, Mozambique, Malawi and Rwanda. The amount of revenue from external customers is as follows:

	2024 ZWG	2023 ZWG
Revenue from customers domiciled in Zimbabwe	544 911 101	577 081 634
Revenue from external customers	53 477 902	52 858 899
	598 389 003	629 940 533

Entity-wide information

The Company has only one reportable segment. The total carrying amount of non-current assets located in Zimbabwe is ZWG 519 million (2023: ZWG 11.7 million) due to revaluation Property, Plant and Equipment cost, and there are no non-current assets located in other countries. As there is only discrete financial information available for the entire Company, the segment information provided to the executive team for the product reportable segments for the year ended 30 September 2024 is as follows:

	2024 Cables ZWG	2024 Total ZWG	2023 Cables ZWG	2023 Total ZWG
Revenue from customers	598 389 003	598 389 003	629 940 533	629 940 533
Depreciation	(288 305)	(288 305)	(1 750 407)	(1 750 407)
Share option charge	101 748	101 748	1 778 129	1 778 129
Profit before interest and taxation	198 853 990	198 853 990	243 621 128	243 621 128
Finance income	331	331	137	137
Finance cost	5 283 609	5 283 609	11 325 615	11 325 615
Income tax expense	57 416 963	57 416 963	46 402 249	46 402 249
Total assets	926 643 614	926 643 614	384 861 867	384 861 867
Total liabilities	91 007 715	91 007 715	103 836 461	103 836 461

Notes to financial statements

For the year ended 30 September 2024

6 Property, plant and equipment

	Land ZWG	Buildings ZWG	Plant and equipment ZWG	Motor vehicles ZWG	Total ZWG
Year ended 30 September 2023					
Opening carrying amount	288 114	1 475 714	3 815 202	1 501 441	7 080 471
Additions	-	-	1 989 657	4 460 928	6 450 585
Disposal	-	-	-	(107 390)	(107 390)
Depreciation charge for the year	-	(55 649)	(551 151)	(1 143 607)	(1 750 407)
Closing carrying amount	288 114	1 420 065	5 253 708	4 711 372	11 673 259
As at 30 September 2023					
Cost	288 114	2 219 176	10 660 209	7 425 509	20 593 008
Accumulated depreciation	-	(799 111)	(5 406 501)	(2 714 137)	(8 919 749)
Closing carrying amount	288 114	1 420 065	5 253 708	4 711 372	11 673 259
Year ended 30 September 2024					
Opening carrying amount	288 114	1 420 065	5 253 708	4 711 372	11 673 259
Revaluation surplus	106 721 886	149 191 939	246 822 142	-	502 735 967
Additions	-	-	-	5 905 634	5 905 634
Disposal	-	-	-	(953 894)	(953 894)
Depreciation charge for the year	-	(4)	(6 550)	(281 751)	(288 305)
Closing carrying amount	107 010 000	150 612 000	252 069 300	9 381 361	519 072 661
As at 30 September 2024					
Cost /revalued balance	107 010 000	150 612 000	252 069 300	11 997 651	521 688 951
Accumulated depreciation	-	-	-	(2 616 290)	(2 616 290)
Closing carrying amount	107 010 000	150 612 000	252 069 300	9 381 361	519 072 661

The Company engaged a professional independent valuer, Knight Frank, who carried out valuation of the Company's property, plant and equipment excluding motor vehicles. The valuation was carried out as at 30 September 2024.

7 Inventories

	2024 ZWG	2023 ZWG
Raw materials and consumables	73 969 723	74 958 956
Work in progress	9 013 084	6 877 391
Finished goods	238 046 826	184 528 232
	321 029 633	266 364 579
Provision for slow moving and obsolete inventories	(450)	(26 983)
	321 029 183	266 337 596

There were no inventories written down to net realisable value during the year (2023: ZWG nil). There were no inventories pledged as security during the year (2023: ZWG nil).

The analysis for the provision for slow moving and obsolete inventories is as follows:

As at 1 October	26 983	219 240
Provision reversed during the year	(26 533)	(192 257)
As at 30 September	450	26 983

Notes to financial statements

For the year ended 30 September 2024

8 Trade and other receivables

	2024 ZWG	2023 ZWG
Trade receivables - gross	69 320 306	73 926 591
Less: Allowance for expected credit losses	(9 739 202)	(1 003 562)
Trade receivables - net	59 581 104	72 923 029
Value added tax	6 370 763	-
Prepayments	5 945 962	17 577 904
Other receivables	282 657	264 602
	72 180 486	90 765 535

Impairment and risk exposure

The movements in the allowance for expected credit losses measured at amortised cost are as follows:

Allowance for expected credit losses- net: As at 1 October	1 003 562	778 250
Charge to profit of loss for the year (note 17)	9 651 837	782 324
Effects of inflation	(916 197)	(557 012)
As at 30 September	9 739 202	1 003 562

The carrying amounts of the Company's trade and other receivables are denominated in ZWG.

Due to their short term nature, the carrying amount of trade and other receivables is considered to be the same as their fair value.

The other classes within trade and other receivables do not contain impaired assets and are not past due. Based on the credit history of these other classes, it is expected that these amounts will be received when due. The Company does not hold any collateral in relation to these receivables.

9 Cash and cash equivalents: for purposes of the cash flow statement

	2024 ZWG	2023 ZWG
Cash and bank balances		
Cash at bank	14 183 197	5 617 984
Cash on hand	178 087	4 713 123
	14 361 284	10 331 107
Overdrafts		
Bank overdraft	-	(15 082 156)
Cash and cash equivalents	14 361 284	(4 751 049)

Notes to financial statements

For the year ended 30 September 2024

10 Reserves

	2024 ZWG	2023 ZWG
10.1 Authorised		
50 000 000 ordinary shares with a nominal value of ZWG 0.00001 each.	1 340	1 340
100 000 5.5% cumulative preference shares of ZWG 0.00001 each	1	1

10.2 Issued and fully paid

	Number of ordinary shares in issue ZWG	Nominal value of ordinary shares ZWG	Share premium ZWG	Total ZWG
As at 1 October 2022	33 589 000	887	2 384 851	2 385 738
Employee share option scheme:				
Shares issued	200 000	-	128 677	128 677
Share options exercised	-	-	195 718	195 718
As at 30 September 2023	33 789 000	887	2 709 246	2 710 133
As at 1 October 2023	33 789 000	887	2 709 246	2 710 133
Employee share option scheme:				
Shares issued	160 000	-	25 488	25 488
Share options exercised	-	-	4 874 870	4 874 870
As at 30 September 2024	33 949 000	887	7 609 604	7 610 491

The unissued share capital is under the control of the Directors subject to the limitations of the Zimbabwe Companies and Other Business Entities Act (Chapter 24:31).

10.3 Share option reserve

Share options are granted to Directors and selected employees. The Directors were empowered to allot 3 232 700 unissued ordinary shares to senior personnel for the purpose of fulfilling the requirements of the employee share option scheme. The exercise price of the granted options is equal to the market price of the shares on the date of the grant. Under the scheme, share options granted in 2010 were exercisable between 31 December 2013 and 31 December 2020 at a price of ZWL 0.12 cents per share and share options granted in 2014 were exercisable between 31 December 2015 and 31 December 2020 at a price of ZWL 0.25 cents per share, and shares granted in 2018 at a price of ZWL 50.00 are exercisable between 7 October 2021 and 31 December 2023. The Company has no legal or constructive obligation for repurchase or to settle the options in cash.

Movements in the number of share options outstanding and their related weighted average exercise prices are as follows:

	2024 Number of share options issued	2024 Exercise price per share ZWG	2023 Number of share options issued	2023 Exercise price per share
Options authorised	3 232 700		3 232 700	
Outstanding at the beginning of the year	160 000	50.00	600 000	50.00
	160 000		400 000	
Exercised	(160 000)	50.00	(200 000)	50.00
Cancelled			(40 000)	
Total shares outstanding at the end of the year	-		160 000	
Outstanding at the end of the year	-	50.00	160 000	50.00

Notes to financial statements

For the year ended 30 September 2024

10.3 Share option reserve (continued)

Share options outstanding at the end of the year had the following exercisable dates, expiry dates and exercise prices.

Grant date	Exercisable date	Expiry date	Exercise price per share ZWG	2024 Number of share options	2023 Number of share options
6 September 2018	7 October 2021	31 December 2023	50.00	-	160 000
				-	160 000
				2024 ZWG	2023 ZWG

The movement on the share option reserve is as follows:

As at 1 October	4 976 618	3 394 207
Share options exercised	(4 874 870)	(195 718)
Charge to the income statement	(101 748)	1 778 129
As at 30 September	-	4 976 618

11 Deferred tax liabilities

Movement in temporary differences during the year ended 30 September 2024	As at 1 October ZWG	Recognised in profit and loss ZWG	Recognised in other comprehensive income ZWG	As 30 September ZWG
Property, plant and equipment	27 102 869	(23 552 375)	25 136 798	28 687 292
Provision for bonus	(261 666)	(2 474 056)	-	(2 735 722)
Leave pay	(96 911)	(1 251 467)	-	(1 348 378)
Provision for credit losses	(25 848)	(2 481 997)	-	(2 507 845)
Advance receipts	(50 998)	(654 762)	-	(705 760)
	26 667 446	(30 414 657)	25 136 798	21 389 587

Year ended 30 September 2023

Property, plant and equipment	102 879 551	(75 776 682)	-	27 102 869
Provision for bonus	(25 578 240)	25 316 574	-	(261 666)
Leave pay	(9 570 146)	9 473 235	-	(96 911)
Provision for credit losses	(1 759 931)	1 734 083	-	(25 848)
Advance receipts	(27 795 880)	27 744 882	-	(50 998)
	38 175 354	(11 507 908)	-	26 667 446

	2024 ZWG	2023 ZWG
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Deferred tax liabilities:

Deferred tax liabilities to be settled after 12 months	21 389 587	26 667 446
Deferred tax liabilities	21 389 587	26 667 446

Notes to financial statements

For the year ended 30 September 2024

12 Trade and other payables

	2024 ZWG	2023 ZWG
Trade payables	13 525 302	12 250 763
Social security expenses and other taxes	1 830 369	1 585 972
Value added tax ("VAT")	-	1 921 285
Accrued expenses	13 751 481	3 023 339
	29 107 152	18 781 359

Trade and other payables are due within twelve months of the reporting date.

Trade payables are unsecured and are usually paid within 30 days of recognition.
The carrying amounts of trade and other payables are considered to be the same as their fair values due to their short term nature.

13 Provisions for other liabilities and charges

Provisions for other liabilities and charges comprises provisions for bonuses and leave pay.
The movements during the year are as follows:

	Leave pay provision ZWG	Bonus provision ZWG	Total ZWG
Year end 30 September 2023			
As at 1 October 2022	1 702 326	5 613 804	7 316 130
Utilised in the current year	(1 702 326)	(5 613 804)	(7 316 130)
Current year charge	3 762 665	10 159 395	13 922 060
As at 30 September 2023	3 762 665	10 159 395	13 922 060
Year end 30 September 2024			
As at 1 October 2023	3 762 665	10 159 395	13 922 060
Utilised in the current year	(3 762 665)	(10 159 395)	(13 922 060)
Current year charge	5 236 418	10 624 165	15 860 583
As at 30 September 2024	5 236 418	10 624 165	15 860 583

14 Income tax payable/(income tax asset)

	2024 ZWG	2023 ZWG
As at 1 October	(5 754 370)	4 800 842
Effects of inflation	-	6 478 850
Tax paid during the year	(19 716 112)	(51 928 403)
Tax charge for the year	27 002 306	34 894 341
	1 531 824	(5 754 370)

15 Dividend payable

Opening balance	56 050 886	-
Dividend declared	41 387 905	56 050 886
Dividend paid	(52 930 635)	-
Closing balance	44 508 156	56 050 886

Notes to financial statements

For the year ended 30 September 2024

16 Revenue from contracts with customers

	2024 ZWG	2023 ZWG
Revenue from customers domiciled in Zimbabwe	544 911 101	577 081 634
Revenue from external customers	53 477 902	52 858 899
	598 389 003	629 940 533

17 Expenses by nature

Raw materials and consumables	260 191 602	268 788 652
Employee benefit expense (note 18)	83 596 276	99 802 737
Audit fees		
- Current year	945 485	137 998
Directors' emoluments		
- Fees	1 530 694	996 756
Postage and telephone	123 613	282 058
Canteen	2 322 712	1 965 232
Trade promotion	1 184 605	353 937
Plant repairs and maintenance	20 261 452	21 217 016
Building repairs and maintenance	3 696 729	4 463 828
Vehicle repairs and maintenance	2 561 416	2 704 626
Electricity and water	16 351 017	10 544 700
Depreciation (note 6)	288 305	1 750 407
Quality and ISO certifications	997 197	1 885 749
Security	4 119 529	3 401 050
Machine running expenses	2 486 127	2 066 752
Insurance	1 726 931	1 675 754
Secretarial and listing related costs	1 308 020	568 553
Legal and professional fees	745 735	787 989
Cleaning and laundry	766 133	592 258
Subscriptions	1 337 736	1 183 308
Computer expenses	3 355 191	1 519 989
Bank charges	2 632 019	1 370 223
Travel	1 342 247	651 855
Freight outwards	2 658 030	1 243 940
Forklifts hire	3 491 457	2 613 429
Allowance for impairment of trade receivables (note 8)	9 651 837	782 324
Clinic expenses	613 378	499 715
Protective clothing	238 818	516 521
Printing and stationery	1 231 199	1 028 849
2% government levy	3 110 033	3 503 904
Packaging	207 477	189 701
Provision recognised for slow moving and obsolete inventories (note 7)	(450)	(26 983)
Other expenses	1 584 866	665 709
Total cost of sales, distribution costs and administrative expenses	436 657 416	439 728 536

The cost of sales, distributions costs and administrative expenses have been disclosed as follows:

Cost of sales	339 009 351	347 185 042
Distribution costs	2 036 648	2 196 503
Administrative expenses	85 959 580	89 564 667
Allowance for impairment of trade and other receivables	9 651 837	782 324
	436 657 416	439 728 536

Notes to financial statements

For the year ended 30 September 2024

18 Employee benefit expense

	2024 ZWG	2023 ZWG
Salaries - executive management	23 218 575	29 069 807
Salaries and wages - non executive employees	54 661 444	62 638 700
Social security costs (note 24)	961 436	961 772
Pension costs (note 24)	3 667 733	4 398 070
Share options charge	101 748	1 778 129
Recognition expenses	141 652	71 144
Attendance hamper	843 688	885 115
	83 596 276	99 802 737

19 Other income

Scrap sales	823 047	705 682
Exchange gains on foreign currency balances	35 441 438	51 657 719
Sundry income	50 055	85 136
	36 314 540	52 448 537

20 Other gains

Profit from disposal of motor vehicles	807 863	960 594
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21 Net interest expense

Interest expense	5 283 609	11 325 615
Interest income	(331)	(137)
	5 283 278	11 325 478

22 Income tax expense

Current income tax on profits for the year	27 002 306	34 894 341
Deferred income tax charge (note 11)	30 414 657	11 507 908
	57 416 963	46 402 249

The tax on the Company's profit before income tax differs from the theoretical amount that would arise using the basic tax rate applicable to profits of 25.75 % (2024) 24.72% (2023).

Profit before income tax	181 170 311	246 035 678
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Notional taxation on profit for the year at a statutory rate of (25.75% 2024) 24.72% (2023)	46 651 355	60 159 949
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Tax effects of:

Income not subject to tax		
Non-deductible expenditure	10 765 608	(13 757 700)

	57 416 963	46 402 249
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23 Earnings per share

23.1 Basic earnings per share

Profit attributable to the ordinary equity holders of the Company	123 753 348	199 633 429
Number of ordinary shares in issue (note 10)	33 949 000	33 789 000

Basic earnings per share (ZWG cents)	365	591
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Weighted number of shares in issue	33 949 000	33 949 000
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Diluted earnings per share (ZWG cents)	365	588
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Reconciliation of basic earnings per share to headline earnings per share

Profit attributable to the ordinary equity holders of the Company	123 753 348	199 633 429
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Adjustments:-

Profit attributable on sale of fixed assets	(807 863)	(960 594)
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Headline earnings attributable to shareholders	122 945 485	198 672 835
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Number of shares	33 949 000	33 789 000
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Headline earnings per share (ZWG cents)	362	588
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Notes to financial statements

For the year ended 30 September 2024

24 Pension benefits

CAFCA Pension Fund

The Company provides for pensions on retirement of all employees by means of a defined contribution pension fund. The pension fund scheme is administered by Bright Insurance Brokers (Private) Limited. Contributions are made by both the Company and the employees at a rate of 11.5% and 7% respectively. All employees including Executive Directors comprising full-time permanent staff of the employer are eligible to be members of the fund.

National Social Security Authority Scheme

The Company and its employees contribute to the National Social Security Authority ("NSSA") Scheme. This is a social security scheme which was promulgated under the National Social Security Act (Chapter 17:04). The Company's obligations under the scheme are limited to specific contributions as legislated from time to time.

	2024 ZWG	2023 ZWG
Contributions recognised as an expense for the year are as follows:		
Social security costs (note 18)	961 436	961 772
Pension costs (note 18)	3 667 733	4 398 070
	4 629 169	5 359 842

25 Related party transactions

Related party listing Companies	Nature of relationship
Reunert Electrical Engineering (Pty) Limited	Common directorship/Shareholding
Cape Canary	Associate shareholding
Metal Fabricators of Zambia	Sister company (sharing same shareholder)
CBI Electric African Cables-A-Division of ATC (Propriety/ Limited)	Sister company (sharing same shareholder)
Cbi Electric Telecomms Cables(Pty) Limited	Sister company (sharing same shareholder)
Crystal Ball Group Investment	Shareholding
Redan Coupons Pvt Limited	Shareholding
Stanbic Nominees	Shareholding

Key management personnel

Honour Piniel Mkushi	Chairman: Non-executive Director
Webster R. N.	(Managing Director) Retired in February 2024
Vimbayi Nyakudya	Chief Executive Officer
Simbarashe Emmanuel Mangwengwende	Non-executive Director
Sharron Maparura	Non-executive Director
Edwin Tavengwa Zinyoro Chidzonga	Non-executive Director
Luis Corte	Non-executive Director
Joshua Tapambgwa	Non-executive Director
Tafadzwa Chigumbu	Non-executive Director

Notes to financial statements

For the year ended 30 September 2024

25 Related party transactions (continued) Transactions with related parties

	2024 ZWG	2023 ZWG
i) Purchases of raw materials		
CBI Electric African Cables - A division of ATC (Proprietary) Limited	3 308 327	2 321 108
Metal Fabricators of Zambia plc ("Zamefa")	72 909 198	-
	76 217 525	2 321 108
ii) Sales of goods		
Metal Fabricators of Zambia plc ("Zamefa")	-	24 064
Key management compensation		
Key management includes directors (executive and non-executive) and executive managers (members of the executive committee).		
Salaries and other short - term benefits	23 218 575	29 069 807
Share options (credit)/charge	(101 748)	1 778 129
Directors' emoluments-Fees	1 530 694	996 756
	24 647 521	31 844 692

There were no loans made to directors or key management of the Company during the year (2023: ZWG nil).

26 Capital commitments

The Company had no significant capital expenditure contracted for by the directors at the reporting date (2023: ZWG nil).

27 Contingencies

The Company did not have any contingent assets or liabilities at the reporting date (2023: ZWG nil).

28 Change in functional and presentation currency from Zimbabwe Gold (ZWG) to United States Dollars (USD).

The Directors reassessed the functional currency of the Company and determined that the USD continued to be the currency that best reflects the underlying transactions and events and conditions relevant to the company in accordance with the requirements of IAS 21. Following the reassessment the company changed its functional and presentation currency from ZWG to USD with effect from 1 October 2024.

The change was influenced by several factors, including the increased level in USD transactions following the promulgation of Statutory Instrument 218 of 2023 gazetted on 27 October 2023 which extended the multi-currency regime to 2030.

Management also considered the following;

- The currency that mainly influences the sales prices for the goods and services;
- The currency of the country whose competitive forces and regulations mainly determine the sales price of its goods and services; and
- The currency that mainly influences labour, material and other costs of providing goods or services.

Analysis of shareholders

		Number of shareholders	%	Number of shares	%
1	500	219	34.27	42 118	0.12
501	1000	114	17.84	79 538	0.23
1001	5000	201	31.46	437 388	1.29
5001	10000	35	5.48	231 964	0.68
10001	50000	45	7.04	1 019 999	3.00
50001	100000	3	0.47	230 210	0.68
100001	and above	22	3.44	31 907 783	93.99
Total		639	100	33 949 000	100

Non-public shareholders are defined in the Zimbabwe Stock Exchange Listing Requirements, which requires disclosure of public and non-public shareholders, as follows:

- The directors of the Company;
- An associate of the Company or any subsidiaries;
- The trustees of any employee share scheme or pension fund established for the benefit of any director or employees of the Company and its subsidiaries.
- Any person who, by virtue or any agreement, has the right to nominate a person to the board of the Company; or
- Any person who, is interested in more than 10% or more of the securities of the Company of the relevant class unless exempted by the committee.

Reunert Electrical Engineering (Proprietary) Limited, Cape Canary, Crystal Ball Group Investment, Messina Investments, and the directors' interests in the ordinary shares of the Company disclosed on page 5 are categorised as non-public shareholders of the Company.

Ratios and statistics

	2024	2023
Number of shares (000)	33 949	33 789
Basic earnings per share (ZWG cents)	365	591
Diluted earnings per share (ZWG cents)	365	588
Price to earnings ratio	3.84	1.58
Market price (ZWG cents)	1 400	932
Profitability		
Operating profit (%)	33	39
Solvency		
Gearing ratio	0	10
Interest cover (times)	38	22
Shareholders funds to turnover	136	40
Liquidity		
Current assets to interest free liabilities and short term borrowings	4.48	3.59
Other		
Number of permanent employees	255	259
Number of shareholders	639	633

Shareholders' information

Top 20 shareholders at 30 September 2024

Shareholder	Number of shares	% of total
1 REUNERT ELECTRICAL ENGINEERING PTY LIMITED	9 564 318	28.17
2 CAPE CANARY	8 313 861	24.49
3 CRYSTAL BALL GROUP INVESTMENT	5 200 245	15.32
4 MESSINA INVESTMENTS	3 759 479	11.07
5 HONOUR MKUSHI FAMILY TRUST	978 454	2.88
6 NATIONAL SOCIAL SECURITY (WCIF)	712 224	2.10
7 STANBICNOMINEES	564 505	1.66
8 DELTA ENFIELD CABLES	448 800	1.32
9 RADIA PRAKASH	478 444	1.41
10 NATIONAL PENSION SCHEME	413 461	1.22
11 CAROLINE KANGARA	303 988	0.90
12 REDAN COUPON	240 653	0.71
13 DELWARE TRADING (PRIVATE) LIMITED	213 856	0.63
14 GODFREY MAVERA	210 000	0.62
15 AVENELL INVESTMENTS(PRIVATE) LIMITED	141 207	0.42
16 STEPHENSON P.H	130 000	0.38
17 PEOPLE OWN SAVINGS BANK	127 700	0.38
18 VALLEY STORES	125 000	0.37
19 GEZMARK INVESTMENTS (PRIVATE) LIMITED	120 549	0.36
20 WILSON ESQ, KENT RAYMOND	120 000	0.35
	32 166 744	94.75
OTHER	1 782 256	5.25
TOTAL	33 949 000	100.00

Shareholders' calendar 2024 - 2025

2024 Annual report distributed	January 2025	2025 Results announced	Nov 2025
79 th Annual General Meeting	February 2025	2025 Annual report	Jan 2026
2024 Half-year results announced	May 2025	80 th Annual General Meeting	Feb 2026

Shareholders' information

Notice to shareholders

Notice is hereby given that the 79th annual general meeting of the members of CAFCA Limited will be at 12.00 noon on Thursday 20 February 2025. Shareholders are being advised that, the Company will hold a physical meeting. The agenda of the meeting is set out below:-

Ordinary Business

1. Adoption of the financial report.
2. To receive and consider the directors' report, audited financial statements and the report of the auditors for the year ended 30 September 2024.
3. To re-appoint Messrs Grant Thornton as auditors for the ensuing year. They have served as auditors of the Company for three years.
4. To approve the audit fees for the year.
5. To approve Director fees
6. To sanction dividend of USD 4,9 cents per share declared on 29 September 2024.
7. To re-elect as director Mr S. E Mangwengwende
8. To re-elect as director T.Chigumbu

Notes:

1. A member entitled to vote at the above meeting may appoint one or more proxies as alternative or alternates to attend the meeting, to vote and speak in the member's stead.
2. A proxy need not be a member.
3. Proxy forms must be lodged with the company secretary at least 48 hours before the commencement of the meeting.

First Transfer Secretaries (Private) Limited

1 Armagh Avenue, Eastlea, Harare: Telephone: +263 242 782 869/7 Email: info@fts-net.com

Shareholders are encouraged to preregister on the online portal that will be provided by the transfer secretaries and submit proxy form 48 hours before the meeting. In order to ensure full considerations and shareholders participation, all queries/questions must be submitted to the Company and/or transfer secretaries at least 48 hours before the meeting. All the submitted questions will be read out and answered during the meeting by the Chairman and the Directors.

Please be advised that the 2024 Annual Report can be accessed on the company's website: www.cafca.co.zw. Electronic copies of the 2024 Annual Report (which includes financial statements, Directors' and Auditors' Report) shall be emailed to those shareholders whose email addresses are on record.

By order of board

C.Kangara
Company Secretary
31 December 2024

Proxy information

1. A member of CAFCA Limited who is entitled to attend and cast a vote at a general meeting of the Company may:
 - Vote personally at the meeting or appoint:
 - not more than two proxies,
 - an attorney, or
 - in case of a body corporate, a corporate representative to attend the meeting.
2. A proxy need not be a member of CAFCA Limited.
3. When more than one proxy is appointed, each proxy must be appointed to represent a stated proportion of the member's voting rights. If no proportion is specified, the appointment is of no effect.
4. Unless the member specifically directs the proxy how to vote, the proxy may either vote as he/she thinks fit, or abstain from voting.
5. Where the member is a natural person, the proxy form must be signed either by the member personally or by a duly appointed attorney.
6. If an attorney signs the proxy form on behalf of a member, the relevant power of attorney or the authority under which it is signed, or a certified copy thereof must be deposited together with the proxy form at the Company's registered offices.
7. Where a member is a body corporate, the proxy must be executed in accordance with the laws of the country of incorporation and in terms of the Memorandum and Articles of Association of the Company.
8. Any person who is a joint holder of shares may appoint a proxy and, if more than one of the joint holders appoints a proxy or seeks to vote personally at the meeting, then the person whose name stands first on the register shall alone be entitled to vote.
9. In the case of joint holders of shares, all holders must sign the proxy form.
10. The proxy form must be received by the company secretary NOT LATER THAN forty-eight (48) hours before the scheduled time of the annual general meeting.

Sustainability Report

Directors' Report

1.0 Chief Executive Officer's overview

CAFCA thrives on conducting all its business operations in a sustainable manner. We believe in creating value for our stakeholders hence the effort to ensure that the production activities are being done in a safe manner, in a pollution free environment whilst upholding the strategic intention of the organization which is - customer satisfaction.

The organization realized a 10% sales volume growth in FY 24 as compared to FY 23. The domestic market share also increased by 18%, strengthening the organizations market presence which we continue to work on improving. Bedevilling the organization profit base are the substandard cable imports that are continuously finding their way to unsuspecting users.

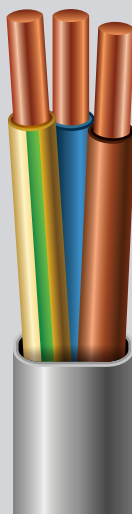
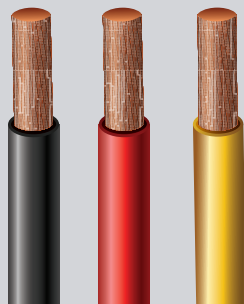
I am proud to announce that the organization's Bulawayo Office managed to scoop an Award for health and Safety at the NSSA SHAW Conference an indication that we do take safety at work seriously.

The unpredictable economic environment continues to threaten the business operations however with a dedicated team and hard-work the organization continues to thrive. I would like to take this opportunity to extend my gratitude to all our stakeholders for their contributions and we look forward to another fruitful year.



VIMBAYI NYAKUDYA
CHIEF EXECUTIVE OFFICER

GRI 102 - 14



1.1 Environment, Social and Governance performance summary

The increase in the revenue of the organization has directly impacted the amount of production output in the current year, resulting in a 6% increase in the production output. This directly impacts on the Greenhouse Gas (GHG) emissions as energy consumption increases. There has been a 8% increase in the energy consumption and GHGs, however there has been a slight improvement in the GHG intensity as it decreased by 1% in FY 24 as compared to FY 23. Power cuts continue to bedevil us and this has resulted in our generators consuming more than 100% of their usual diesel consumption as we rely on them to run our factory when grid electricity is unavailable.

Our Electrolysis plant has successfully run for more than 12 months producing output that can be used directly in our furnace. This will in the long run reduce the foreign currency burdens as we will be able to harvest more than 5 tons of starter sheets from the process in a month. The organization continues to depend on redundant copper reserves for our major raw material which contributes more than 30% of the raw material, and there has been a 44% increase in the harvested redundant copper in the year under review, however the sources continue to dwindle.

The organization strives to promote gender equality despite being a heavy industry and as such the female new hires increased by 4%, however the total headcount decreased by 6%. This was mainly because the contractors that left were not replaced. The apprenticeship program resumed in FY 24 and the organization took on board 4 new apprenticeship program as a way of investing in skills. The total new hires decreased by 42% and turnover also decreased by 15%.

Waste management has been at the core of the business and as such the business continues to recycle all its waste copper and PVC and engaging in industrial symbiosis for the processing of other wastes effectively. Due to the advent of the Geo Pomona, an effective waste landfill the organization seized an opportunity to dispose of some of its waste that had been proving difficult to process internally.

Health and safety remain a primary focus within the organization and in the year under review there was a 46% reduction in the number of workplace injuries. Mental health has been identified as one of the workplace hazards and as such the organization has embarked on a conscious commitment to engage all employees in a wellness program that is done at least twice a year. This year wellness program was done through our medical aid facilities Generation Health and EMF. Other initiative to address mental health to be identified and implemented in FY 25. No fatalities were recorded.

Implementation of the voluntary ISO management system ISO 14001:2015, ISO 9001:2015, ISO 45001:2018 and ISO 50001:2018 has helped the organization to be more efficient, and to work in a more systematic manner hence the continued commitment to maintenance of the 4 systems.

During the year the organization successfully managed to pass applications for mark certification for AAC, ACSR and stay wire with SABS. Certification is imminent.

Further information on the organization's performance, operations and out-look is covered in the Chief Executive Officer's report page 10.

CAFCA in pictures





1. Coiling machine
2. Aluminium cable production
3. Aluminium rod raw material
4. Tanks for PVC storage
5. Electrical cable for dispatch
6. Factory waste bins

CAFCA in pictures

7. Galvanised steel wire

8. Quality inspection

9. Factory shop sign

10. 14mm copper rod

11. Starter sheet from
Electrolysis Plant

12. Cafca prides itself
in providing a safe
working environment



7.



8.



9.



10.



11.



12.

2.0 About this report

This is the 10th sustainability report covering the financial year October 2023 to September 2024 (FY 24). The report is integrated with the financial results and is done annually. For the purposes of this report, data presented dates back to 2022, however other data and information dating back to 2015 is available. Issues reported in this document are within the confines of CAFCA Limited as guided by internal procedures. CAFCA has complied with all the disclosures required when preparing a report in accordance with the GRI Standards. There have been changes in the amount of data as presented in the reporting period FY 23, however there are no restatements.

A copy of this report can be obtained upon request from CAFCA through its Management Representative. We greatly appreciate and value your feedback. Questions regarding the sustainability report and its contents may be sent via email to marketing@cafca.co.zw.

Contact person is Phillip Tashayawedu,
Chief Engineer, CAFCA Ltd
P.O. Box 1651, Harare.

GRI 2-3,4

2.1 Stakeholders and materiality

2.1.1 REPORTING PRINCIPLES

The report content and topic boundaries were gathered from the organization's activities, impacts and the expectations and interests of its stakeholders. The reporting principles that were used are sustainability context, stakeholder inclusiveness, materiality and completeness as guided by GRI 101 standard.

A GRI standard Context Index is made part of this report to show the topics covered in the wider context of sustainability reporting.

2.1.2 MATERIALITY

Material topics for CAFCA and its stakeholders were identified through internal processes like meetings, partnerships, collaborations, consultations, information/knowledge sharing and feedback from customers. All the identified material topics were mapped to indicate their significance both to CAFCA business and stakeholders.

GRI 3-1 to 3

2.4 External Assurance

No external assurance was done on this report. Internal procedures and standing instructions were enforced to ensure that the information used in this report is correct and representative of what is happening in CAFCA processes. All CAFCA management system procedures are documented in the Business Manual for continuity and repeatability. Looking into the future In FY 25 the organization intends to get the report assured to improve on its credibility.

GRI 2-5

3.0 About CAFCA

Information covering the company profile, mission statement, corporate information and operating principles (shared values), refer to page 1 and 2 of this Integrated Annual report.

GRI 2- 9 to 21

3.1 CAFCA overview

We refer you to "CAFCA Overview" section of the Integrated Annual report (pages 1 & 3).

GRI 2-1

3.2 CAFCA supply chain



Key raw materials

- a) Copper,
- b) Aluminium,
- c) Polyvinyl Chloride,
- d) Polythene, and
- e) Galvanized Steel Wire

CAFCA raw materials have not changed and mostly procurement has been done from our traditional suppliers unless otherwise there have been challenges in the system, or with product quality. All suppliers go through an environmental, occupational health and safety and energy management assessment.

CAFCA subscribes to national and international standards for the manufacture of its products. These are: SAZ 240, SAZ 732, SANS 1507, SANS 1339, SANS 1418 and BS 215 standards. Finished goods can be purchased and collected at the retail shop at the factory site in Harare, Bulawayo retail shop, and through retailers across the country. CAFCA also provides consignment stock to selected key users within and outside Zimbabwe. All product challenges that customers come across are addressed as customer complaints. We take cognizance that our product poses a safety risk hence the efforts to maintain and renew certifications before they expire.

GRI 2-6

3.3 Changes in supply chain

There were no significant changes to the organisation and its supply chain which have significant economic, environmental and social impact.

GRI 102 - 10

3.4 Markets

CAFCA's turnover is predominantly from the domestic market. Total sales volumes were 10% above 2023 total sales. The increase due to increase aluminium conductor sales. Export volumes increased by 5% over last year. See the sales revenue breakdown in tons:

Year	2024	2023	2022
Domestic sales - tons	2,438	2,201	2,172
Export sales volume - tons	297	282	330
TOTAL	2,735	2483	2,502

Refer to "Statement of financial position" section on page 16 and group performance review section on page 46 of the Integrated Annual Report.

GRI 102 - 06 and 07 (iv & v)

3.5 Scale of organisation

The organization's manpower status for the year 2024 is shown in the graph below.

Type of employment	2024	2023	2022
Permanent	255	264	252
Learnership	13	0	11
Contract	14	40	29
Students on attachment	8	9	10
Internship	0	0	0
Apprenticeship	4	0	0
Total number of employees	294	313	302

The organization strives to promote gender equality despite being a heavy industry and as such the female new hires increased by 4%, however the total headcount decreased by 6%. This was mainly because the contractors that left were not replaced. The apprenticeship program resumed in FY 24 and the organization took on board 4 new apprenticeship program as a way of investing in skills. The total new hires decreased by 42% and turnover also decreased by 15%. The organization has a 10% of females employed in the various departments of the organization.

GRI 2-7&8

4.0 Managing our risks

CAFCA continues to adopt various tools and techniques to ensure adequate risk management in all areas. Refer to "Corporate Governance" section of the Integrated Annual Report page 4-8.

GRI 102 - 18

4.1 Risk management system

The Management Team during the Strategic planning workshop done annually continues to identify risks and opportunities to the business to pay attention to for the organisation to achieve the intended results of the QMS, EnMS, OHS and the EMS.

4.1a CAFCA opportunities

ID	STRATEGIC ISSUE
O1	Solar project
O2	Electrolysis plant – producing our own copper reducing the foreign currency demands
O3	REA – increased Aluminium requirements

4.1b CAFCA risk

ID	STRATEGIC ISSUE
R1	Power challenges
R2	Mental health issues
R3	Imports and lifting of protection by the Government

6.0 Membership

CAFCA continues to be a member of both statutory and voluntary organizations. It complies to all requirements. It participated in workshops hosted by the various organization it subscribes to like the BCSDZ and the Southerton-Workington Environment Cluster.

8.0 Stakeholder engagement

CAFCA key stakeholders in CAFCA Ltd are identified as employees, the shareholders, senior executives, investors, the community, government, banks, suppliers, certification bodies and customers. We continue to dedicate ourselves to ensuring that the needs and expectations of our stakeholders are given the attention they deserve, therefor each stakeholder has a direct contact with the organisation and a platform to ensure their needs and expectations are met.

GRI 2-23

The table below is a summary of the key topics and/or concerns raised by various stakeholders and how the organization responded to them.

CAFGA STAKEHOLDER CONCERNS

Stakeholder	Key topic raised	Concerns raised	CAFGA's response	Status
Employees	Safe working environment	Mental health issues	Wellness program twice a year	Ongoing
Employees	Mpox Threat	Hygiene standards and prevention	Awareness and education of all employees on signs symptoms and prevention measures.	Ongoing
Customers	Requests for credits and discounts	Requests for credits and discounts	To identify ways of improving relations with customers	Ongoing
EMA	Persistent organic pollutants national framework	Our cables consisting of POPs	- Submitted samples to EMA for testing - Committed to giving a technical resource to take part in the proceeding of the national committee dealing with POPs	Ongoing
Shareholders	Dividend			
Shareholders	Human resources function			

GRI 102 - 44

9.0 Our economic performance

CAFGA is listed on the Zimbabwe Stock Exchange and strives to comply with all the legal requirements the business is subjected to. In a very difficult economic environment the business continues to thrive, maintaining a market share increase by 18% during the year under review the organization also experienced an increase in the revenue.

In line with the GRI Standards disclosure requirements, economic performance summary is provided below.

	2024 ZWG	2023 ZWG
Turnover	598 389 003	629 940 533
Domestic	544 911 101	577 081 634
Export	53 477 902	52 858 899
Profit before income tax	181 170 311	246 035 678
Profit attributable to shareholders	123 753 348	199 633 429
Capital expenditure	5 905 634	6 450 585
Shareholders equity	814 246 312	254 357 960
Payments to government (income tax)	19 716 112	51 928 403

For more information, refer to the following Integrated Annual Report 2023 sections:

"Statement of financial position" section on page 18

"Consolidated statement of comprehensive income" section on page 19

"Consolidated statement of changes in equity" section on page 20

"Consolidated statement of cash flows" section on page 21

"Ratios and statistics" section on page 46

GRI 201 - 1



10.0 Our environmental performance

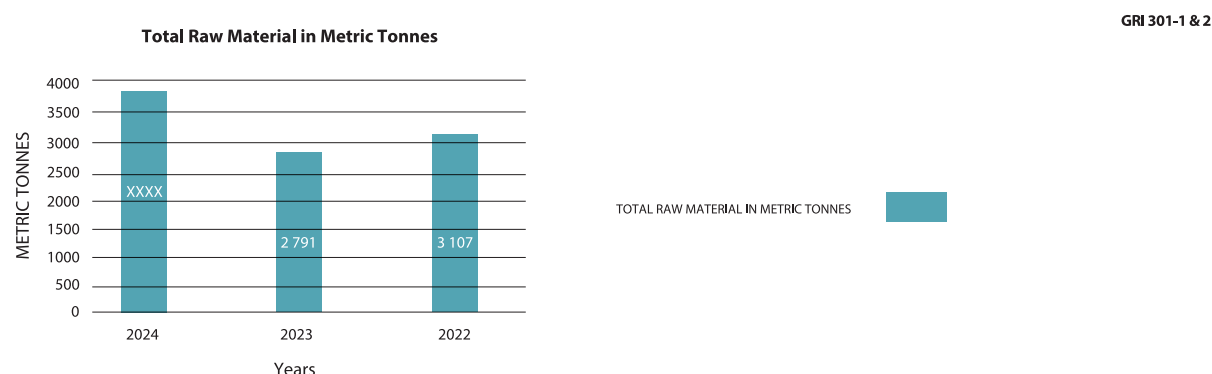
Sustainable operations are at the core of the day-to-day activities of the organization and as such the sustainability matters are embedded in the processes and procedures of the organization. Climate change has brought about a lot of insecurities for organizations and the organization is not exempt to the impacts of climate change, major amongst them being the droughts which have in turn resulted in shortage of electricity and this has hit the organisation as we experience numerous power cuts during the year, however as adaptation the organization makes use of standby generators. As a way forward the organization looks forward to adopting cleaner energy sources in case of a power cut. CAFCA Ltd continues to meets all the requirements of ISO 14001 ensuring that all activities are carried out in a manner that guarantees future

generations are not deprived of a safer environment, environmental aspects including natural resource use are measured and monitored. The organization has a sound chemical management system that ensures safe use and disposal of hazardous chemicals such as Nitric acid and sulphuric acid amongst other chemicals. All employees are given adequate training on handling of the chemicals for their personal safety and for environmental safety. During the period under review there have not been any chemical accidental release or accidents. Things like water usage raw materials usage, the impact of various processes on the environment including air emissions, effluent and waste production are all measured and monitored and presented in the following tables.

10.1 Materials

Non-renewable materials used

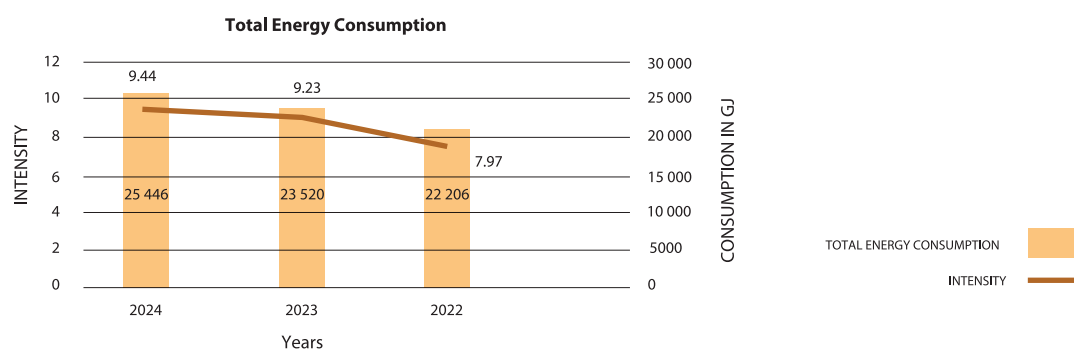
Total raw materials consumption increased by 40 % in FY 24 compared to FY 24. Significant increase was in Aluminium Production as we secured a tender with REA for production of Aluminium overhead cables. Redundant copper consumption increased by 40% and virgin copper was above 60% of the raw material requirements. The Electrolysis plant potentially contributing towards the raw material needs hence its expansion.



10.2 Energy consumption - Non-renewable fuel

All CAFCA processes rely on a constant supply of energy in the form of electricity, Liquid Petroleum Gas, diesel and petrol. Electricity constitutes 92% of total energy requirement and the rest make up the remaining 8%. The remaining 8% energy source are converted to kWh then to Gigajoules for easy of computing and reporting.

Note: Conversion factors obtained from International Energy Agency.

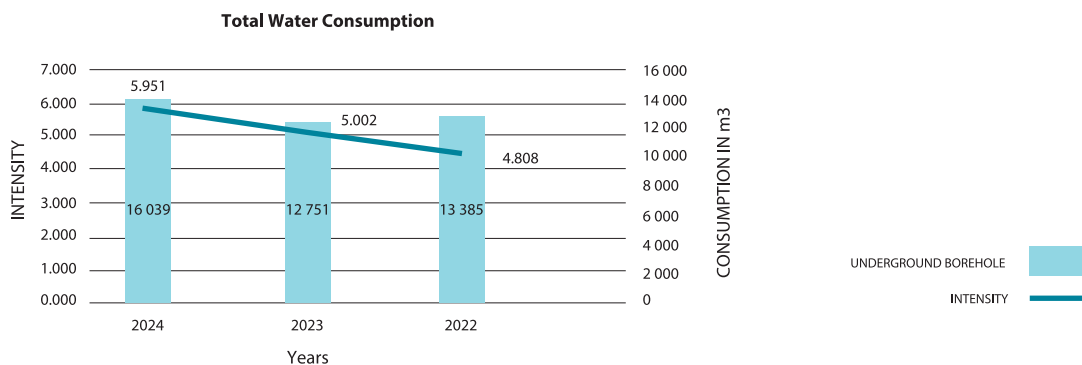


During the year under review energy consumption increased by 8% and the total output increased also by 6%, this slightly increased the intensity by 2%. Addition of and full production at the electrolysis plant contributed towards the increase in consumption but since the output doesn't directly get to dispatch the intensity increased.

GRI 302 - 2 , GRI 302 - 3, GRI 302 - 4

10.3 Water

Water is a key resource for CAFCA processes and in as much as it has a closed loop system, the organization relies on water for its cooling system, electrolysis plant as well as the daily sanitary uses. Water consumption increased by 26% compared to the prior year. The intensity increased by 18%. The new lawn installed at the front of the organisation has increased the water requirements of the organization. See graph below for consumption patterns:

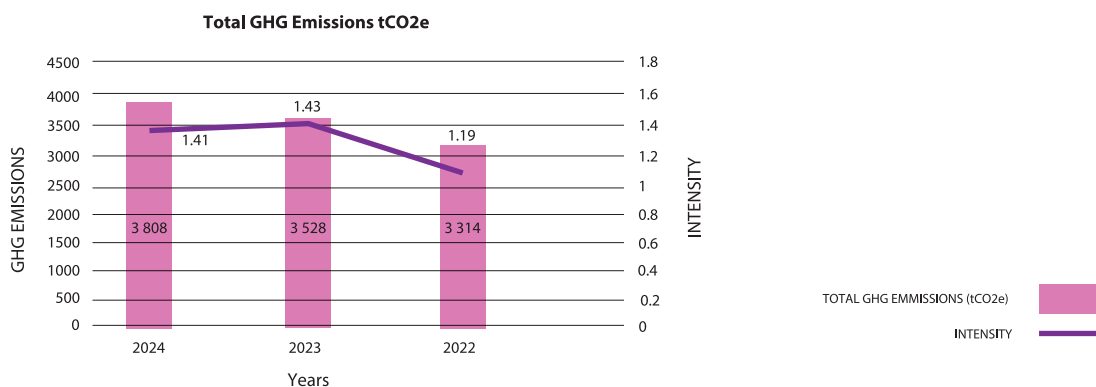


GRI 303 - 1, GRI 303 - 3

10.4 Emissions

CAFCA solely depends on purchased electricity for the running of all its machinery and when power supply fails the generators come in. In the year under review there has been noted power supply challenges resulting in the increase in GHG emissions by our generators from 24 GHGs to 60 GHGs. Other energy sources such as LPG, petrol and charcoal almost remained the same. In the year under review, our emissions increased by 8%, however the tonnage also increased by 6%. The increase in the emissions was mainly due to addition of a significant energy user, the Electrolysis Plant which is beneficial to the organization as it processes redundant copper into usable starter sheets. The GHG intensity decreased by 1% from 1.43 to 1.41 GHG per ton of product output owing to the opportunities for improvement that were implemented during the year under the Energy Management System. Going into the year 2025, the organization intends to explore other sources of energy to reduce much dependance on the grid electricity and also reduce the carbon footprint. The graph below shows the GHG emission figures for financial year 2024.

The graph below shows the GHG emission figures for financial year 2024.



GRI 305 - 1, GRI 305 - 2, GRI 305 - 5

10.4.1 Air quality monitoring

Air emissions are measured using a third party on a quarterly basis to comply with the legal requirements and as an organisational responsibility not to expose the community we operate in to a harmful environment. Production processes including copper smelting, incineration and extrusion produce fumes and have a potential impact to the environment. Licensing is given and renewed by Environmental Management Agency on an annual basis. Licenses applied for in the year 2024 are listed below:

Air emission source	License band
Furnace (Copper smelting)	Blue
BM 80 1 (Extrusion machine)	Blue
BM 80 11 (Extrusion machine)	Blue
DS130 (Extrusion machine)	Blue
Coreline (Extrusion machine)	Blue
Tml (Extrusion machine)	Blue
Sheahline(Extrusion machine)	Blue
Nm100 (Extrusion machine)	Blue
Burn out oven (Incinerator)	Blue
Standby generator*3	Green

GRI 305 - 01

10.5 Waste

The organization continues to reuse, recycle and recover its waste through activities such as industrial symbiosis mainly with plastic products making organizations. As we continue to positively contribute to the management of the environment, the organization made a conscious decision to get rid of some oil contaminated waste that we failed to process with the in-house recovery processes.

Type of waste	Quantity (tonnes)	Method of disposal
2024		
Solid waste	15	Disposed of waste that was difficult to recover, recycle or reuse and had been contaminated with oils
Electrical waste	0	
2023		
Solid waste	0	No waste sent to the landfill
Electrical waste	0	
2022		
Solid waste	0	No waste sent to the landfill
Electrical waste	0	

10.5.2 Non-hazardous waste

Type of waste	Quantity (tonnes)	Method of disposal
2024		
General waste	0	Recycling by third parties
* Plastic waste	14.56	
* Paper waste	15.97	
2023		
General waste	0	Recycling by third parties
* Plastic waste	13.1	
* Paper waste	1.043	
2022		
General waste	0	Recycling by third parties
* Plastic waste	4.32	
* Paper waste	0	

GRI 306 - 2

10.5.3 Significant spills

No significant spills.

GRI 306 - 3

10.6 Environmental Compliance

CAFCA complies with the national legal framework and subscribes to Optima Legal software and government gazettes for updates on all applicable environmental laws and regulations. The organization did not receive any fines and/or sanctions for non-compliance with environmental laws and regulations during the reporting period. It shall continue to use its internal business management systems to comply with legal obligations.

10.7 CAFCA'S Contribution to Sustainable Development Goals

The Sustainable Development Goals (SDGs), also known as the 'Global Goals', lay out a roadmap to end poverty, reduce inequality, and tackle climate change, among other ambitions. CAFCA as a manufacturing company in the private sector demonstrates the role it plays in sustainable development by contributing in the following SDGs.

SDG	THEME	CAFCA'S CONTRIBUTION
	1. End poverty in all its forms everywhere	Employment opportunities and a competitive income for all employees
	2. End hunger, achieve food security and adequate nutrition for all, and promote sustainable agriculture	Employment opportunities and a competitive income for all employees
	3. Attain healthy life for all at all ages	Availability of a working medical aid society - Generation Health and EMF Access to the company doctor for all employees.
	5. Attain gender equality, empower women and girls everywhere	Employment of women in the organization despite being a heavy male dominated environment
	6. Secure water and sanitation for all for a sustainable world	Clean portable water provision for all employees that is regularly tested
	7. Ensure access to affordable, sustainable, and reliable modern energy services for all	
	8. Promote strong, inclusive and sustainable economic growth and decent work for all	The organization promotes a safe working environment with all our employees well represented for any concerns that arise
	9. Promote sustainable industrialization	The organization puts effort in trying to adopt sustainable processes and adoption of technologies that support sustainable development
	10. Reduce inequality within and among countries	The organization continues to be an equal opportunities employer and strives to get better
	12. Promote sustainable consumption and production patterns	The organization has been in the past decade successfully recovering waste copper as a raw material for its processes and also embarked on a journey to reduce waste sent to the landfill
	17. Strengthen and enhance the means of implementation and global partnership for sustainable development	The organization has memberships across the industry with other organizations such as the BCSDZ, Workington cluster amongst other which are collaborations which help foster sustainable development

11 Our social performance

11.1 Our people

The total headcount decreased by 6%, however these were contractors that were not replaced after they left. All our employees are fully represented within the various mandatory and voluntary committees such as the Works Council, Health & Safety sub-committee, Energy management committee, amongst other committees. The organisation is moving towards a shift where it empowers its shop floor to improve on product quality as well as health and safety and environmental management. This is because of the acknowledgement of the role that is played by the shop floor in a successful organisation.

The organisation provides equal opportunities, without discriminating against gender, race, physical ability or HIV/AIDS status. Employees' contributions are valued and the organisation commits to treating every employee with respect, fairness and professionalism.

CAFCA employees are covered by Collective Bargaining Agreements as the organization recognizes employees' right to freedom of association and collective bargaining. The organisation also has a sound Pension Fund to cater for the welfare of its employees even after retirement.

GRI 402 - 1 to GRI 407 - 1

GRI 201 - 3

11.2 New employee hires by gender

Year	Category	Male	Female	Total	% rate of new female to total new hires
2024	New hires	52	5	57	9
2023	New hires	90	6	96	6
2022	New hires	138	10	148	7

11.3 New hires by age group

Year	18-20	21-30	31-40	41-50	51-63
2024 % rate	4 7	48 84	3 5	2 4	0 0
2023 % rate	9 9.4	53 55.2	21 22	9 9.4	4 4
2022 % rate	0 0	114 77	24 16	6 4	4 3

11.4 Employee turnover by gender

Year	Category	Male	Female	Total	% rate of female to total employee turnover
2024	Turnover	52	3	55	5
2023	Turnover	59	6	65	9
2022	Turnover	51	3	54	6

11.5 Employee turnover by age group

Year	18-20	21-30	31-40	41-50	51-63
2024 % rate	6 11	43 78	3 5.5	0 0	3 5.5
2023 % rate	4 6	37 57	20 31	2 3	2 3
2022 % rate	0 0	39 73	9 17	3 5	3 5

GRI 401-1

Employee new hires decreased by 42% whilst employee turnover decreased by 15%. There was a slight increase in the number of new female employee hires this was mainly because male students were replaced by female students on attachment.

11.5 Health and safety performance

11.5.1 Mpox threat response

The organization has been on high alert of the Mpox virus which the Ministry confirmed only two cases in Zimbabwe. The organization has taken heed of the preventive measures by the Ministry and as such the employees have been given awareness and any way forward as communicated by the ministry will be communicated.

11.5.2 Employees health and safety

Number of work related accidents at CAFCA

Performance indicator	2024	2023	2022
Injuries	7	13	10
Fatalities	0	0	0
Contractor related injuries	0	6	3
CAFCA injuries	7	7	7
Lost time injuries	5	8	6
First aid injuries	2	5	4
Total number of accidents	8	13	10
Lost man-days due to injuries	114	44	35

GRI 401 - 3

The organization experienced a decrease by 46% in the number of accidents occurring, however the number of lost time injuries remain the same. The Total recordable incident rate (TRIR) stands at 1.66 from 1.89 which is a 12.2% decrease and the Lost time injury frequency rate (LTIFR) stands at 8.32 from 9.32. the aim remains to be at zero accidents and mental health issues are surfacing as the primary cause of the accidents. Therefore, going forward the organization is putting in place initiatives to deal with mental health issues to improve safety at work, including a biannual wellness program.

11.6 Occupational health surveillance

Monitoring of employees health on issues that are likely to arise from the activities of the organization continues to be done on an annual basis on the following:

- a) Audiometric
- b) Pneumoconiosis
- c) Sight screening
- d) Thermal heat assessment

There were no outright failures during the assessments, however there were employees that have been put on a short interval control of 3 months for their audiometric. We continue to employ the hierarchy of control of hazards for those areas that become potential risks.

GRI 403 - 3

Health assessment parameter	Health assessment parameter		
YEAR	2024	2023	2022
Audiometric	179	173	77
Pneumoconiosis	54	64	65
Sight screening	247	246	166
Thermal heat assessment	122	121	111
Total number of employees sent for assessments	602	604	419

11.7 Training and education

The training statistics for 2018-2024 are shown in tables below.

	2023	2023	2022
Number of employees trained	267	224	445
Number of man days trained	370	368	475
% Female	1	4	5
% Male	99	96	95

The organisation continuously trains its employees to improve on its skills base. Training needs are identified and planned for annually. This has resulted in the following trainings by experts as additional to the ones we already routinely do:

- Furnace operations training
- Extrusion operations training
- Supervisors training

GRI 404

11.8 Child labour

The organization actively employs only individuals above the age of 18. The same applies to all our contractors and those whom we have control over. Vetting is done prior to employment.

11.9 Parental Leave

The organization complies with the Labour Act, and as such all pregnant women are allowed a 98 days paid leave and 3 months of nursing hour. During the period under review, 1 female employee took maternity leave.

GR1 401-3

This document meets the criteria of being in accordance with the GRI Standards for sustainability reporting on the core level.

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